WS Global CIO Office
13 November 2026

Weekly Market View



Tactical plays within a diversified allocation

➔ Our calls to dial down risk since early October have helped mitigate a bear market in semiconductors and the sharpest single-day post-mid-term election downturn in US equities in over three decades.

➔ Volatility has eased after the post-election spike, helping the IT sector partly recover. We see further upside in our opportunistic US IT and healthcare sector equity ideas.

➔ A strong job market is likely to keep the Fed focused on lowering inflation, cementing the prospect of a December rate hike, potentially followed by another in Q1 2027. A strong economy and elevated interest rates support our overweight allocation to US financial sector equities.

➔ In bonds, we lock in gains on US inflation-protected bonds as inflation nears a peak.

Where do you see the most favourable risk-reward within the US tech sector?

How do falling oil prices and hot US inflation data impact your Fed and bonds outlook?

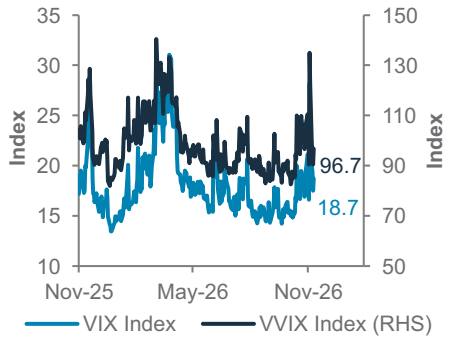
Does the USD rally have further to run?

Important disclosures can be found in the Disclosures Appendix.

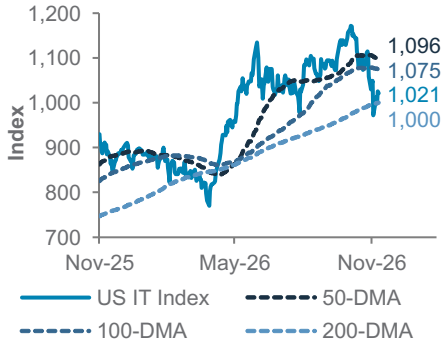
Charts of the week: Volatility drops, reviving tactical plays

US equity volatility has dropped after a spike; we stay bullish on US IT equities and lock in gains in inflation-linked bonds

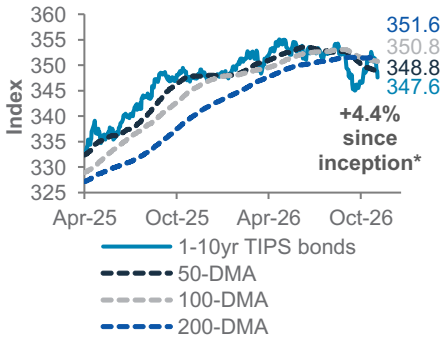
US S&P500 volatility (VIX) and volatility of volatility (VVIX) indices



US IT sector equities total return index



US government inflation-linked 1-10 years total return index*



Source: Bloomberg, Standard Chartered. *Initiated on 11 April 2025.

Editorial

Tactical plays within a diversified allocation

Strategy summary: Our calls to dial down risk since early October have helped mitigate a bear market in semiconductors and the sharpest single-day post-mid-term election downturn in US equities in over three decades. Volatility has eased after the post-election spike, helping the IT sector partly recover. We see further upside in our opportunistic US IT and healthcare sector equity ideas. In bonds, we lock in gains on US inflation-protected bonds as inflation nears a peak.

Navigating volatility. Almost five weeks ago, we cut our semiconductor segment equity exposure as market breadth narrowed ahead of the US election. Two weeks ago, we cut equities from Overweight to a core allocation, positioning for mid-cycle market dynamics. Last week, as the US equity market volatility index VIX surged above 25, we partially dialled up risk with a tactical idea on the more diversified US IT sector.

Staying tactical within a diversified allocation. Equity volatility following last week's Democratic clean sweep in the US elections has subsided. Questions about the pace of AI data centre buildout are likely to linger until Democrats take office in in January. Nvidia's turmoil adds uncertainty. We remain broadly diversified and balanced in our core allocation across assets, sector and regions, while seeking tactical opportunities. History suggests sharp selloffs are followed by near-term volatility, particularly during macroeconomic stress. However, the balance of historical outcomes has typically shifted strongly to the upside over a three- to six-month horizon. Besides, historically, US equity markets have delivered the strongest 12-month returns after opposition clean sweeps in the mid-terms.

Rotation driving US IT sector recovery: As volatility eases, our opportunistic US IT equities idea, launched a week ago, has performed well, despite some significantly negative company specific developments. Attractive valuations support further upside. Investors are rotating within IT from semiconductors, affected by concerns over the pace of AI data centre buildout and Nvidia's troubles, towards software and hardware providers. The latter have strong cash flows and balance sheets and are likely to benefit from AI monetisation. Together, they account for more than 60% of the IT sector (see page 4).

Remain constructive on US healthcare. US healthcare earnings are projected to grow almost 23% in 2027, the second-fastest among MSCI US sectors. We see scope for further upside in the sector as innovation underpins long-term earnings growth. With the market rotating away from concentrated AI exposure, healthcare's stable, non-cyclical demand profile offers a compelling exposure as a diversifier (see page 5).

Outside the US, Switzerland and India offer diversified returns. The Swiss equity market consists of 41% healthcare, 19% financial services and 14% consumer staples, providing a defensive alternative to investors seeking to diversify away from tech-heavy exposure. The Indian equity market has been classified as an "anti-AI" trade. Historically narrow valuation premiums vs. EMs, low foreign investor positioning and c. 15% expected 2027 earnings growth make it an attractive diversifier.

Strong jobs and inflation reports cement December Fed rate hike. The US economy added 165,000 jobs in October, more than twice the 70,000 consensus estimate. The unemployment rate fell to 4.1%. Meanwhile, headline and core inflation in October, at 0.4% and 0.3% m/m, respectively, exceeded expectations as elevated fuel prices, 'techflation' and earlier tariffs fed into directly exposed sectors, including food, utilities and transportation services. A healthy job market keeps the Fed focused on lowering inflation, cementing the prospect of a December rate hike, potentially followed by another in Q1 2027. A strong economy and elevated interest rates support our overweight allocation to US financial sector equities.

Locking in gains from our bullish US inflation-protected bonds idea. While near-term price pressures remain elevated, we expect inflation to ease with energy costs over the coming year. Republicans' heavy losses in the US mid-term elections increase pressure on the Trump administration to end the Iran conflict. One-year US inflation expectations have slumped alongside oil prices. A potential slowdown in the pace of AI buildout is also likely to ease techflation. Meanwhile, Fed rate hikes should further tighten financial conditions, tempering price pressures. This disinflationary outlook makes the risk-reward for US inflation-protected bonds less compelling. We close the idea, locking in a 4.4% gain (page 6).

— ***Rajat Bhattacharya***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

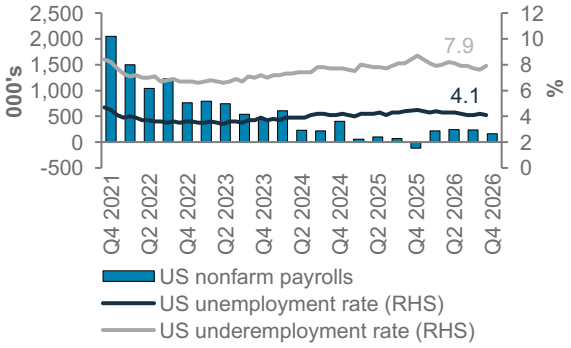
(+) factors: Strong US job market; improving US consumer sentiment

(-) factors: Hotter-than-expected US inflation; rising odds of Fed hikes

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls rose more than expected by 165,000 in October; unemployment rate fell unexpectedly to 4.1% • US Michigan consumer sentiment rose more than expected to 51.0 in Nov • US Michigan 1-year inflation expectations eased to 4.3% from 4.7% • Euro area Sentix investor confidence came in above estimates at 2.4 in November	• US headline and core consumer prices rose more than expected in Oct • US NFIB small business optimism index edged down to 97.8 in October • Euro area retail sales rose less than expected by 0.4% m/m in September • China consumer price inflation slowed in October, while producer prices rose • China exports grew less than expected by 35.2% y/y in October
	Our assessment: Neutral – Strong US job market and consumer sentiment vs. hotter-than-expected US inflation	
Policy developments		• Fed's Waller and Logan signalled further rate hikes, and potentially faster or larger moves • ECB several policymakers signalled a December hike was likely
	Our assessment: Negative – Fed officials and ECB policymakers signalled more tightening	
Other developments	• Russian and Ukrainian officials held their first peace talks since February, though there was no major breakthrough • The US-China trade truce has been extended through to 10 Jan 2027	• President Trump said the US is no longer seeking a deal to end the war with Iran • US Secretary Rubio said US-Iran talks have not been very productive • A record 37 ships were attacked in the Gulf in October, the highest monthly total since the conflict began
	Our assessment: Negative – Russia-Ukraine talks vs. Trump's move away from a peace deal; geopolitical tensions	

US job creation surged in October, with non-farm payrolls beating expectations, and the unemployment rate falling back to 4.1%

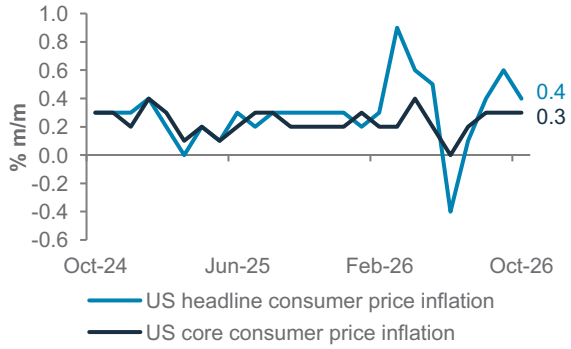
Quarterly US non-farm payrolls, unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered.
*Q4 2026 represents October data only

US headline and core consumer prices rose more than expected by 0.4% m/m and 0.3% m/m in October respectively, raising odds of Fed hikes

US headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China's consumer inflation eased further, while factory-gate prices accelerated in October

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

What does history tell us about the aftermath of a single-day sell-off of 4% or more in the S&P500 index?

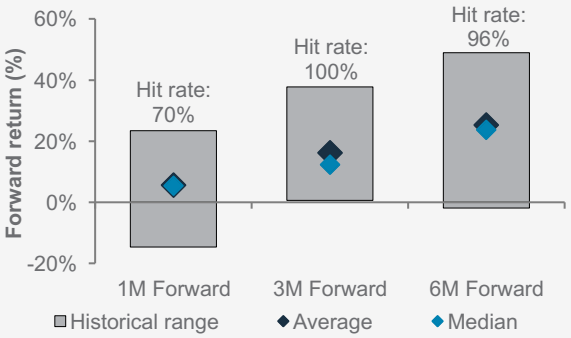
Our view: The S&P500 fell 4.36% on 5 November 2026, a rare daily move of 3.8 standard deviations. Since 2009, there have been **only 24 occasions** when the index declined by 4% or more in a single session. The immediate aftermath of such sell-offs has historically been mixed. **One-month returns ranged from around -15% to +23%, with positive returns in 70% of cases.** The weaker outcomes were concentrated around periods of significant macro stress, including the tail end of the 2008 Global Financial Crisis (GFC), the 2020 COVID-19 pandemic and the 2022 monetary policy tightening cycle.

The historical picture becomes considerably more constructive beyond the first month. All 24 episodes generated positive **three-month returns**, ranging from roughly **+0.5% to +38%**, while **six-month returns** were positive in **96%** of cases, with gains reaching as much as **+49%**. Overall, history suggests sharp sell-offs can be followed by near-term volatility, particularly during periods of broader macro stress. However, the balance of historical outcomes has shifted strongly to the upside over a 3-6-month horizon.

— **Maggie Au Yeung,** *Quantitative Analyst*
— **Francis Lim,** *Senior Quantitative Strategist*

S&P500 forward returns following large sell-offs

Average forward returns for S&P500 index following sharp sell-offs



Source: Bloomberg, Standard Chartered
Note: 1. Since 2009 • 23 completed events • November 2026 excluded. 2. Hit rate refers to % of positive returns

Where do you see the most favourable risk-reward within the US technology sector?

Our view: We favour high-quality Big Tech companies with strong balance sheets and prefer diversified exposure through our US Information Technology (IT) opportunistic idea.

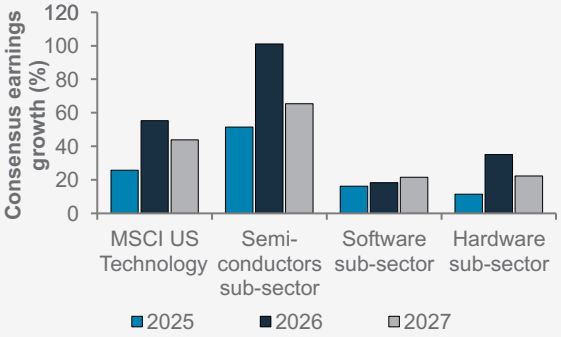
Rationale: The recent pullback in US semiconductor stocks has improved their risk-reward profile. Earnings for these companies are forecast to grow by **65%** in 2027, the fastest rate among technology subsectors. Despite this outlook, recent regulatory and corporate governance concerns are weighing on sentiment. **Potential state-level restrictions on data centre development** following the recent US mid-term election results could weigh on semiconductor demand growth. However, we believe these risks are manageable and continued AI adoption should support demand for AI inference. We **prefer diversified exposure to quality semiconductor companies** with durable demand and strong volume growth.

To navigate volatility in the US technology sector, we favour Big Tech companies with strong balance sheets and resilient cash generation, as they are better positioned to sustain AI investments without relying heavily on external financing. **Our US IT opportunistic idea** combines these preferences through exposure to semiconductors, software and hardware, allowing investors to participate in a potential recovery across a broader range of earnings drivers.

— **Ryan Goh,** *Investment Strategist*

The semiconductor segment is expected to continue to lead US technology earnings growth in 2027

Consensus earnings growth (y/y) by US technology subsector, 2025-27 (%)



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Do fundamental drivers support a constructive view on the US healthcare sector?

Our view: We remain constructive on US healthcare, supported by its defensive characteristics and robust earnings growth.

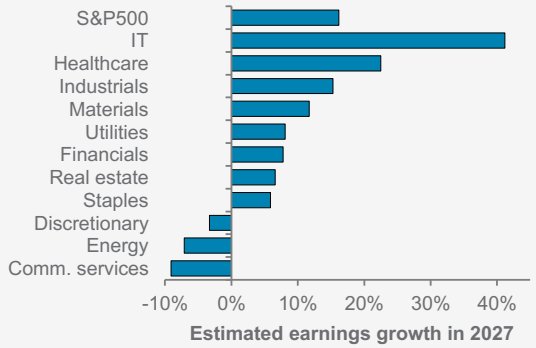
Rationale: US healthcare earnings are projected to grow by **22.5%** in 2027, the second-fastest among MSCI US sectors, driven by **improving biopharma earnings**. The US healthcare sector's valuation gap against the broader market has been recovering from a steep historical discount a year ago. The sector's forward price-to-earnings (P/E) ratio of **c. 20x** now exceeds the broader US market's **c. 18.4x**, but we see scope for the valuation to be supported amid investor demand for defensive growth. The sector's broad legislative policy overhang has materially faded following the US election cycle, while targeted regulatory and oversight risks remain on the watchlist.

Healthcare innovation also underpins structural growth. Wider adoption of obesity and diabetes treatments, alongside advances in oncology treatments, medical devices and robotic surgery, should support long-term earnings growth. With the market rotating away from concentrated AI exposure, **healthcare's stable, non-cyclical demand profile presents compelling opportunities** for investors seeking both defensiveness and growth in the near term.

— **Jason Wong**, *Senior Equity Analyst*

US healthcare sector earnings are projected to grow 22.5% in 2027 – the second-fastest among MSCI US sectors

Consensus 2027 earnings growth by sector in the S&P500 Index



Source: LSEG I/B/E/S, Standard Chartered

What is your outlook for China's Big Tech sector?

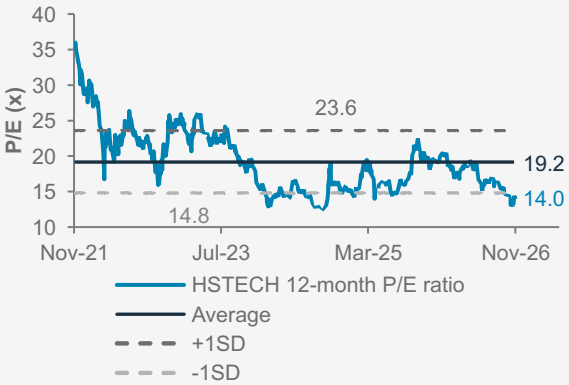
Our view: We remain positive on China's Big Tech sector, consistent with our Overweight stance on the country's IT and communication services sector.

Rationale: Valuations across China's technology sector remain inexpensive at 14.2x, with investor attention centred on whether AI-driven revenue can offset elevated AI-related spending, which is currently compressing margins. **Elevated AI capex** and **negative free cash flow** remain key investor concerns in the Q3 earnings season. Top-line momentum also remains uneven: **soft domestic consumption** continues to weigh on e-commerce, advertising and local services, whereas **gaming and cloud computing are delivering resilient growth**. The broader narrative is steadily transitioning towards **commercialisation**, with rapid enterprise penetration by AI workplace agents and upcoming AI model launches shifting the market focus towards active deployment and conversion to paid usage. **Evolving regulatory frameworks** covering AI governance, agent self-regulation, tax scrutiny and compliance requirements remain important variables influencing medium-term margin trajectories. Ultimately, **valuation support, gradual monetisation of AI capabilities and resilient core segments** support our Overweight positioning.

— **Cindy Lam, CFA**, *Senior Investment Strategist*

China's technology sector valuations remain inexpensive at 14.2x, nearly 1 standard deviation below the mean

Hang Seng Technology (HSTECH Index) 12-month forward P/E ratio



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Why are you closing your US Treasury Inflation-Protected Securities (TIPS) opportunistic idea?

Our view: We are closing our opportunistic bullish US TIPS position, as the risk-reward profile has become less compelling. The trade returned 4.4% since its initiation on 11 April 2025.

Rationale: We initiated an opportunistic bullish position in US TIPS on 11 April 2025 as an oil and inflation hedge, expecting geopolitical uncertainty to keep inflation expectations elevated. **The risk-reward, however, has since become less compelling**, as hawkish Fed commentary, easing geopolitical risks and a potential slowdown in the pace of AI buildout are now likely to ease broader inflation and 'techflation' pressures. We have therefore closed the opportunistic idea, realising **a gain of 4.4%**.

— **Cedric Lam,** *Senior Investment Strategist*

While real (net-of-inflation) yields remain elevated, the inflation-protection function of US TIPS has diminished as inflation expectations ease

One-year USD inflation swap, 10-year US real yield



Source: Bloomberg, Standard Chartered

How do falling oil prices and October's US inflation data affect your Fed and bond market outlook?

Our view: Our base case envisages two further 25bps Fed hikes by mid-2027, with scope for cuts in H2 2027 if energy prices remain consistently lower and growth trajectory normalises. We favour income over chasing duration gains, focusing on higher-quality corporate bonds with 3-7-year maturities.

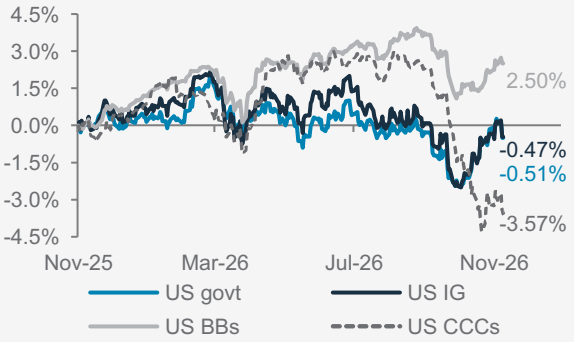
Rationale: Lower oil prices have a **two-sided effect**: they ease inflationary pressures and support growth by boosting purchasing power and lowering business costs. Cheaper energy, therefore, does not automatically justify Fed easing. **Our base case envisages two further 25bps hikes by mid-2027**, with scope for cuts in H2 2027 if energy prices remain consistently lower. Sustained moderation in core inflation would challenge the near-term tightening path. However, October's US consumer inflation print reinforced our assessment that **each Fed meeting now remains a 'live' decision**.

With the US 10-year government bond yield already within our 5.0-5.25% 3-month range, we **favour income over chasing duration gains**. Credit performance has diverged: Developed Market high-yield bonds have outperformed both investment-grade credit and government bonds. Credit still offers attractive income, and we retain our **preference for 3-7-year maturities**, although heavy primary issuance remains a counterweight. We favour selective carry, with a preference for higher-quality corporate bonds. These include **bonds issued by leading AI hyperscalers**, where risk-reward has become more attractive. Our emphasis is on generating steady income, rather than relying on further declines in bond yields or spreads.

— **Cedric Lam,** *Senior Investment Strategist*

Corporate bonds still offer attractive income, but fundamental quality matters

Total returns of Bloomberg US government, US investment-grade corporate, US BB-rated high-yield and US CCC-rated high-yield indices over the last 12 months



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Does the USD's rally have further to run?

Our view: Further upside appears limited. Stronger-than-expected US core inflation in October and hawkish Fed comments have pushed the US Dollar Index (DXY) above 103. However, markets already price in more Fed tightening than we expect. We see the DXY returning to its 101.00-102.95 range in the near term, before gradually weakening towards our 12-month forecast of 98.5.

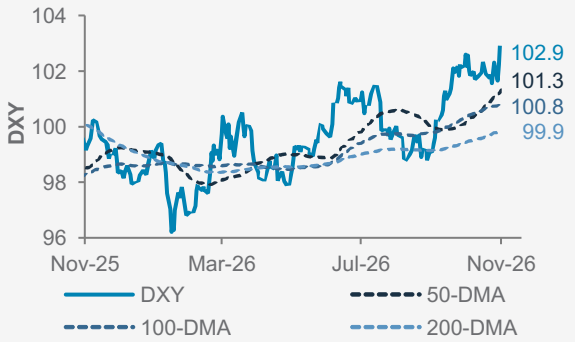
Rationale: US core consumer prices rose **0.3% m/m** in October, above the 0.2% m/m expected, meeting Fed Governor Waller's threshold for considering a 50bps December rate hike. This pushed US government bond yields higher, supporting the USD rally. However, **futures now imply a Fed rate peak of 4.50-4.75% by mid-2027**, compared with our expectation of 4.25-4.50% following two 25bps hikes, one in December and the second in H1 2027. We expect the Fed to begin easing in H2 2027. As market expectations gradually converge towards our view, USD support from US bond yields should weaken.

Meanwhile, falling oil and petrol prices should help ease headline inflation in the coming months, reducing pressure for further Fed tightening. This reinforces our expectation of **limited USD upside**, although **persistent services inflation remains a key risk**.

— **Vincent Tan,** *Senior Investment Strategist*

US dollar index's rally above 103 looks stretched

USD index (DXY) and technicals



Source: Bloomberg, Standard Chartered

Do you expect USD/JPY to sustainably break out above 160 in the near term?

Our view: We see USD/JPY rangebound with a downside bias, as growing BoJ tightening expectations and potential policy convergence will support gradual JPY appreciation.

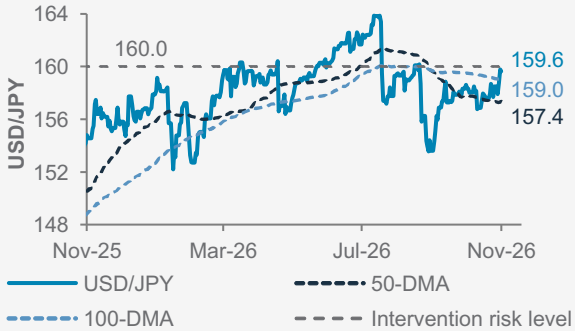
Rationale: Renewed tech optimism has encouraged the **re-establishment of carry trades**, providing support to the pair lately. Meanwhile, US core inflation beat expectations for a third consecutive month in October, reinforcing expectations for a December Fed hike. Further upside inflation surprises could widen the US-Japan interest rate differential and push USD/JPY higher.

However, **the risk of intervention by Japan's Ministry of Finance is likely to rise materially around 160**, limiting the scope for sustained upside. On the downside, a 25bps BoJ hike to 1.50%, accompanied by clear signals of consecutive hikes in March and June 2027, would be a significant yen-positive catalyst. A more non-linear downside scenario would be a disorderly equity sell-off, which could trigger rapid JPY appreciation through carry-trade unwinding. We see **scope for the pair to test support towards 156** in the coming weeks.

— **Iris Yuen**, *Investment Strategist*

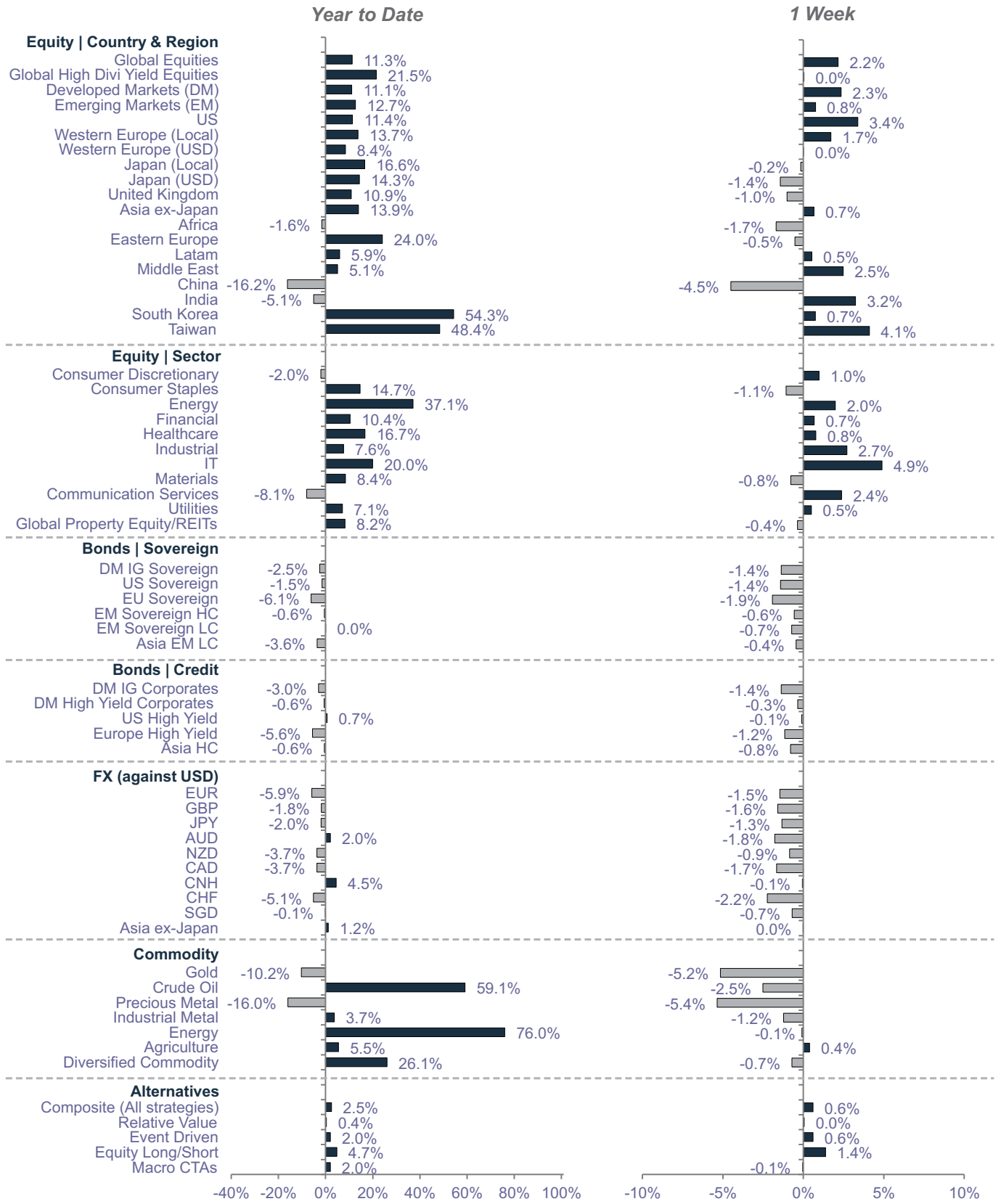
USD/JPY is exposed to intervention risk

USD/JPY and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 12 November 2026; 1-week period: 5 November 2026 to 12 November 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	◆		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Japan Financials	▲
		China Technology	▲
Bonds	◆	China Financials	▲
		China Communication	▲
Credit		China Materials	▲
Asia USD	◆	China Healthcare	▲
Corp DM HY	◆		
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	Retail Sales y/y	Oct	0.8%	1.1%
	CNH	Industrial Production y/y	Oct	5.3%	5.5%
	CNH	Fixed Assets Ex Rural YTD y/y	Oct	-7.0%	-7.2%
	CNH	Property Investment YTD y/y	Oct	–	-20.6%
	USD	Empire Manufacturing	Nov	17.0	25.5
TUE	EUR	Germany ZEW Survey Expectations	Nov	–	28.1
	EUR	Euro area ZEW Survey Expectations	Nov	–	18.5
	USD	Retail Sales Control Group	Oct	0.4%	0.1%
WED	USD	Housing Starts	Oct	1230k	1221k
	USD	Building Permits	Oct P	1378k	1398k
THU	USD	FOMC Meeting Minutes	28-Oct	–	–
	USD	Philadelphia Fed Business Outlook	Nov	–	20.9
	USD	Leading Index	Oct	0.0%	0.0%
FRI/SAT	EUR	Consumer Confidence	Nov P	–	-17.9

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,821

Technical indicators for key markets as of 12 Nov close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,592	7,357	7,821	18.3	1.2
STOXX 50	6,399	6,137	6,546	14.8	3.2
FTSE 100	10,863	10,611	11,032	12.4	3.5
TOPIX	3,937	3,709	4,141	14.7	2.5
Shanghai Comp	3,656	3,546	3,794	11.8	3.1
Hang Seng	24,009	22,918	24,986	10.0	3.6
Nifty 50	25,299	23,250	26,386	18.4	1.7
MSCI Asia ex-Japan	1,024	956	1,101	8.4	3.0
MSCI EM	1,555	1,456	1,671	8.4	3.3
Crude oil (WTI)	88.7	78.3	104.9	na	na
Gold	3,877	3,753	4,101	na	na
UST 10Y Yield	5.13	4.85	5.37	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 12 Nov close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.76
Global Equities	●	↓	1.53
Gold	◐	↓	1.44
Equity			
MSCI US	●	→	1.64
MSCI Europe	●	↑	1.54
MSCI AC AXJ	◐	↓	1.46
Fixed Income			
DM Corp Bond	●	↑	1.63
DM High Yield	●	→	1.51
EM USD	●	↑	1.53
EM Local	●	↓	1.61
Asia USD	●	↑	1.59
Currencies			
EUR/USD	◐	↓	1.28

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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SC Wealth Insights

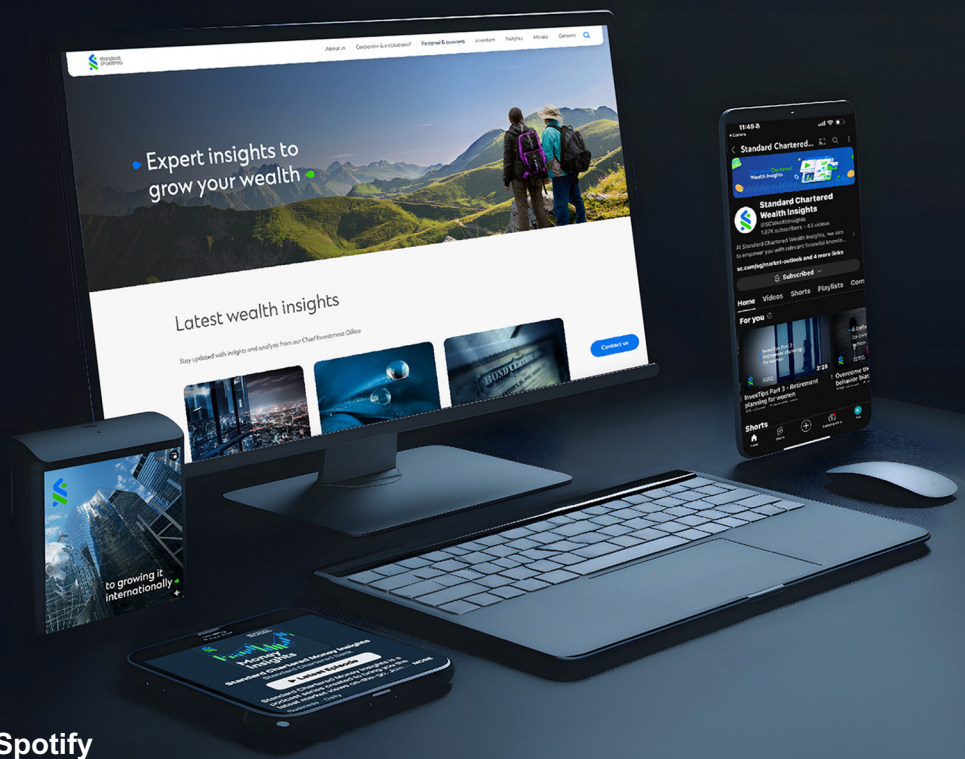
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WS Global CIO Office
6 November 2026

Weekly Market View

Increasing signs of a bottom

➔ Democrats' thumping win in the US mid-term elections has three key implications: i) policy gridlock is back in Washington, likely stalling fiscal expansion and new tariffs; ii) the chance of a prolonged Middle East conflict is curtailed, lowering oil prices and inflation expectations; and iii) the pace of AI data-centre buildout is at risk, curbing AI-linked bond supply.

➔ For portfolios, the election reinforces our mid-cycle playbook: remaining broadly balanced across assets, while looking for tactical opportunities.

➔ As the S&P500 volatility index (VIX) surpasses 25, we see rising signs of equity market bottoming. We add an opportunistic idea on the US IT sector, while using volatility to earn income through structured strategies.

➔ In bonds, we prefer the 3-7-year part of the Developed Market bond yield curve and BBB-to-BB-rated corporate bonds to earn attractive income as AI supply eases. In FX, we position for a modestly weaker USD over 6-12 months via our allocation to ex-US assets.

What are the equity market implications of the US mid-term elections?

Does emerging US jobs data alter your view on Fed rates and US bond yields?

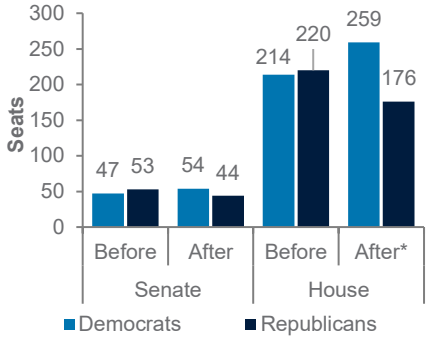
What is your outlook for GBP after this week's BoE meeting?

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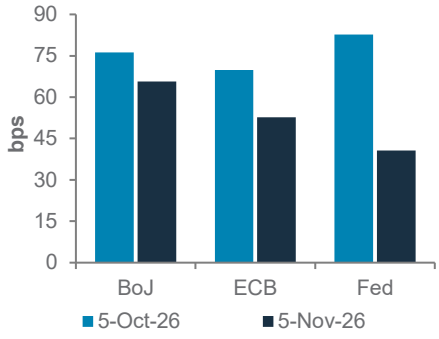
Charts of the week: Blue Wave drags oil and equities, lifts gold

Democrats' emphatic win in the US elections should curtail President Trump's powers to prolong the Iran conflict

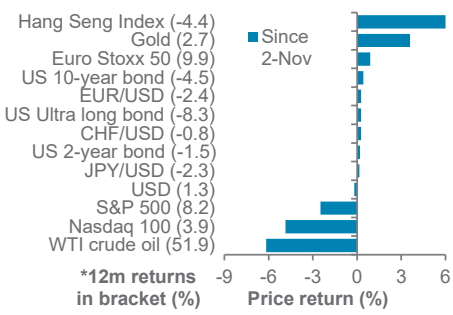
US Senate and House seats by parties, before and after the mid-term elections



Money market expectations of key policy rate changes by Sep 2027^



Performance of key assets since 2 November



Source: Bloomberg, Standard Chartered; *NBC News projections; ^5 November vs. 5 October

Editorial

Increasing signs of a bottom

Strategy summary: Democrats' thumping win in the US mid-term elections has three key implications: i) policy gridlock is back in Washington, likely stalling fiscal expansion and new tariffs; ii) the chance of a prolonged Middle East conflict is curtailed, lowering oil prices and inflation expectations; and iii) the pace of AI data-centre buildout is at risk, curbing AI-linked bond supply. Higher corporate and wealth taxes are a long-term risk if Democrats win the 2028 presidential elections.

For portfolios, the election reinforces our mid-cycle playbook already in place: remaining broadly balanced across assets, while looking for tactical opportunities. As the S&P500 volatility index (VIX) surpasses 25, we see rising signs of equity market bottoming. We add an opportunistic idea on the US IT sector (see page 4), while using elevated volatility to earn income through structured strategies. In bonds, we prefer the 3-7-year part of the Developed Market bond yield curve and BBB-to-BB-rated corporate bonds to earn attractive income as AI supply eases. In FX, we position for a modestly weaker USD over 6-12 months by allocating to ex-US assets.

Policy implications: Oil fell 12% over the past week as Democrats captured the US Senate and House. The party also flipped governorships in five states – Georgia, Iowa, Nevada, Ohio and Texas – securing a majority of governorships among 50 US states for the first time since 2010. Vice President Vance and Republican leaders attributed the defeat to the Iran conflict, making it harder for President Trump to sustain it. Democrat control of the defence budget from next year further constrains conflict escalation. Despite near-term escalation risks, we see the geopolitical risk premium in oil prices fading, with oil easing towards USD 80/bbl over 6-12 months. Oil-driven disinflation should allow central banks to adopt less aggressive policies.

Adding tactical exposure to US IT sector: Semiconductors slumped this week amid concerns over data-centre moratoria, while beneficiaries of Democrat policies include defensives, affordability-related stocks, tariff rollback beneficiaries and the healthcare sector. We use the volatility to add tactical exposure to the US IT sector. As we enter mid-cycle dynamics, equities should return 8-10% annually. The 2015–2017 mid-cycle offers a useful comparison: with an opposition Congress, S&P 500 returns slowed to 8.3%, but remained positive. Diversification across sectors and regions remains a priority amid the rotation.

Prefer belly of the bond curve: Government bonds rallied on expectations of slower growth. We still expect two more Fed hikes by H1 2027, given sticky near-term inflation and a robust economy. However, cheaper oil should lower inflation towards the Fed's 2% target next year, allowing rate cuts in H2 2027. Ultra-long yields remain elevated due to fiscal challenges. Bonds, particularly those from non-hyperscaler investment-grade corporates, offer attractive income. The 3-7-year segment – the belly of the yield curve – offers the best balance of income and sensitivity to interest-rate changes.

Credit to benefit from restrained AI supply: Since states control data centre regulations, Democrat wins in governorship races in leading data centre states, such as Texas and Georgia, means growth in this segment is likely to be restricted. Slower data-centre construction could improve credit supply-demand conditions due to reduced issuance by hyperscalers. However, some data-centre-focused deals could become less viable, warranting caution towards lower-quality issuers. High-yield credit spreads have widened, but BB- and B-rated bonds have held up, while CCC-rated debt has reached distressed levels. We prefer the BBB–BB range, spanning the boundary between investment-grade and high-yield debt, for income.

A modest headwind for the USD, tailwind for gold: The dollar should remain range-bound near term before weakening modestly over 6-12 months. Democrat control of the Congress limits tariff escalation, fiscal expansion and rapid AI buildout, three pillars of US exceptionalism supporting the USD through 2026. Disinflation should also encourage a less aggressive Fed stance, removing another source of USD support. Near-term support for the USD index (DXY) remains at 100.7. A weaker-than-expected payrolls report tonight could accelerate the USD's decline, and vice versa. A softer dollar and sustained central-bank buying, led by China, remain supportive of gold.

— ***Rajat Bhattacharya***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

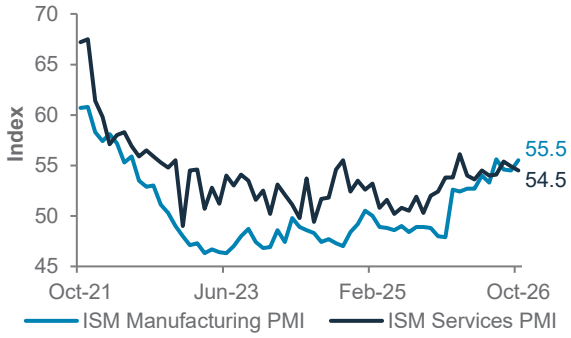
(+) factors: Robust US manufacturing and job openings; Potential easing of geopolitical tensions after Democratic wave in US elections

(-) factors: Weak China PMIs; BOE, RBA hike; a recalibration of AI trade

	Positive for risk assets	Negative for risk assets
Macro data	• US ISM mfg. PMI rose more than expected to 55.5 in October • US ADP private payrolls rose more than expected by 86,000 in October • US JOLTS job openings rose more than expected to 7.52mn in September • US factory orders rose by 1.8% m/m in September • Euro area GDP grew 1.3% y/y (0.4% q/q) in Q3, beating expectations	• US ISM services PMI fell more than expected to 54.5 in October, new orders fell • China mfg. and non-mfg. PMI fell to contraction territory in October • Euro area headline inflation rose to 4.0% y/y in October, as expected; core inflation steady at 2.5% • Euro area unemployment rate held unexpectedly at 6.5% in September
	Our assessment: Neutral – Robust US manufacturing and job market vs. weak US services and China, Euro area PMIs	
Policy developments		• BoE and RBA raised their interest rates by 25bps • Fed's Musalem and Logan called for tightening • ECB's Nagel signalled December rate hike
	Our assessment: Negative – BoE and RBA hike, hawkish Fed officials	
Other developments	• Democratic 'Blue Wave' in US mid-term elections; Trump said he is "willing to accept" the results and will work with Democrats • President Trump said deal with Iran 'could happen' amid intensive' talks, and repeated no immediate plan for a wider attack • Trump said the US was close to making a trade deal with Canada	• Democrats called for AI development pause and superintelligence ban • Houthis claimed fresh drone attacks on Saudi Arabia's airports
	Our assessment: Neutral – Potential easing of geopolitical and trade tensions vs. a recalibration of AI trade	

US manufacturing activity accelerated to a near four-year high, while services growth fell

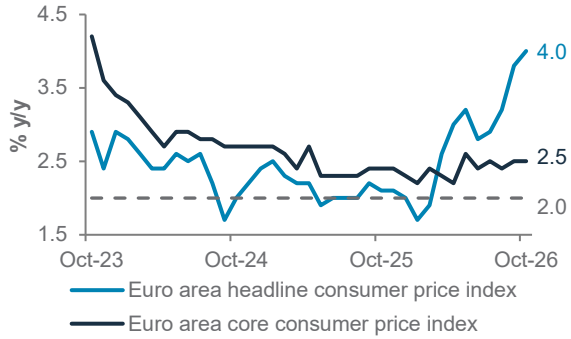
ISM manufacturing PMI and services PMI



Source: Bloomberg, Standard Chartered

Euro area inflation rose to 4% in October, while core price pressures held steady

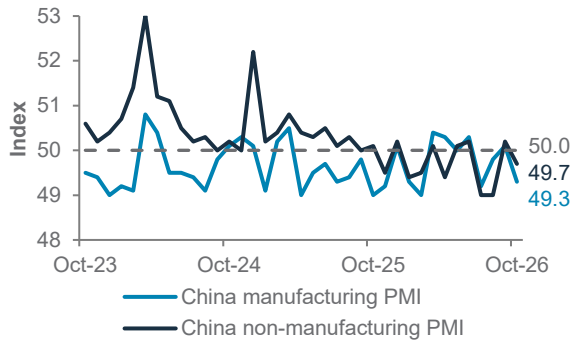
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China's factory and services activity both slipped back into contraction in October

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

What are the equity market implications of the US mid-term election results?

Our view: The US mid-term election outcome adds political headwinds but does not alter our outlook for positive equity returns. Investors should maintain a Core allocation to global equities and continue to diversify their equity exposure across regions and sectors. We initiate an opportunistic idea on the US information technology (IT) sector, moving our opportunistic idea positioning from a defensive tilt to a more balanced positioning. Higher volatility also presents opportunities to use structured strategies for equity exposure.

Rationale: The Democrats' victory in both chambers of Congress has supported the outperformance of themes aligned with their policy priorities, with **clean energy stocks**, including solar companies, among the notable beneficiaries. **Affordability-related themes** have also benefited, including companies that could gain from potential tariff rollbacks. **Medicaid-related stocks** have also risen on hopes that healthcare will gain from policy changes.

Meanwhile, **semiconductor stocks remain under pressure** amid concerns about potential moratoriums on data centres. Our AI capital expenditure (capex) estimates remain conservative relative to consensus, but with a potential reset in expectations around data centre spending, investors should remain selective.

We initiate an opportunistic idea on the US IT sector after a significant 17% correction this quarter. Historically, this has been followed by strong positive returns over the next few quarters (see table). Semiconductors, about 40% of US IT, appears oversold after correcting more than 30% since we closed our opportunistic idea a month ago. Earnings growth for US IT continues to be solid, with volume driven growth in semiconductors, AI monetisation opportunities, ongoing cloud growth and resilient services revenue.

As we highlighted in our **November 2026 Global Market Outlook**, the transition to mid-cycle is typically characterised by greater political headwinds. The mid-term election outcome reinforces this trend. The mid-cycle experience of 2015-17 offers a useful historical parallel for returns that moderate, but remain positive. Although we trimmed global equities to a Core allocation last week**, we continue to expect equities to deliver mid-to-high single-digit returns per annum during the mid-cycle**, even amid political headwinds, supported by steady earnings growth in both 2027 and 2028.

Stay invested and diversify, with Overweight allocations to the US and AxJ, which offer the strongest earnings growth. Sector diversification is key as we expect market leadership to broaden. We are Overweight the US IT, US healthcare, US financial, US materials, Europe ex-UK financial and Japan financial sectors.

— **Fook Hien Yap,** *Senior Investment Strategist*

Policy uncertainty and a change in the innovation cycle is consistent with our view of a mid-cycle transition, where equity returns moderate but remain positive

Comparison of recent equity bull markets

Cycle	Period	S&P annualised returns	Control of chambers	Innovation cycle
Early cycle	Jan 2009 to Jan 2015	19.1%	United / divided	Smartphone/ cloud ramp
Mid-cycle	Jan 2015 to Jan 2017	8.3%	Opposition	Smartphone/ cloud consolidation
Early cycle	Jan 2023 to Jan 2027	20.5%	United / divided	AI ramp
Mid-cycle	Jan 2027 to Jan 2029	??	Opposition	AI consolidation

Source: FactSet, Bloomberg, Standard Chartered

US IT sector has historically seen positive returns the next few quarters after a sharp quarterly decline

US information technology sector performance

Quarter	Decline during quarter	Next 1Q	Next 2Q	Next 4Q
Q4 2008	-22.0%	1.9%	19.3%	51.4%
Q2 2022	-19.8%	-6.3%	-1.5%	38.2%
Q4 2018	-17.4%	19.8%	26.7%	49.8%
Average	**-19.7%**	**5.1%**	**14.8%**	**46.5%**
Q4 2026	-17.0%			

Source: FactSet, Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the key takeaways from Q3 2026 US earnings?

Our view: Q3 US earnings remain robust, but more modest earnings beats reinforce our view that equity markets are entering a mid-cycle phase. We remain Overweight US equities, but recommend investors to maintain diversified sector exposure as returns moderate and market leadership broadens.

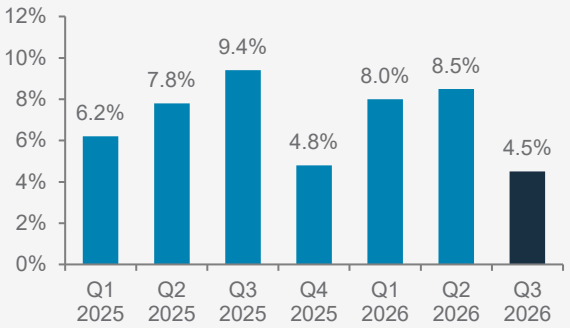
Rationale: As of 30 October, 82% of S&P500 companies that had reported had beaten earnings estimates. However, aggregate earnings were just 4.5% above expectations, a smaller beat than in recent quarters. Still, **Q3 US earnings growth remains robust at 31.6% y/y**, supporting expected full-year growth of 36.1% in 2026 and 16.4% in 2027 for the S&P500. The slower pace of upgrades suggests **the bull market is maturing** as investors focus on the sustainability of earnings growth. This raises the hurdle for positive share price reactions and makes selectivity more essential. For **Big Tech**, capex commitments remain high, while free cash flow is under pressure and expected to remain negative. Financing risks weigh on sentiment, particularly for companies with weaker balance sheets.

We remain Overweight US equities, given the strong earnings growth, but we expect elevated volatility and modest returns. We prefer **quality exposure within technology** while maintaining diversified exposure across US financials, healthcare and materials.

— **Ryan Goh,** *Investment Strategist*

S&P500 Q3 2026 earnings surprises have been smaller than in previous quarters

S&P500 aggregate quarterly earnings surprise relative to consensus estimates (%)



Source: LSEG I/B/E/S, Standard Chartered

What to expect from Japanese banks' upcoming results?

Our view: We expect Japanese banks' earnings growth to continue over the medium term, supported by higher domestic net interest income (NII) and resilient fee income. We remain positive on the sector, favouring banks with strong deposit franchises and scope to increase shareholder returns. Investors will focus on whether full-year guidance upgrades and buybacks exceed expectations.

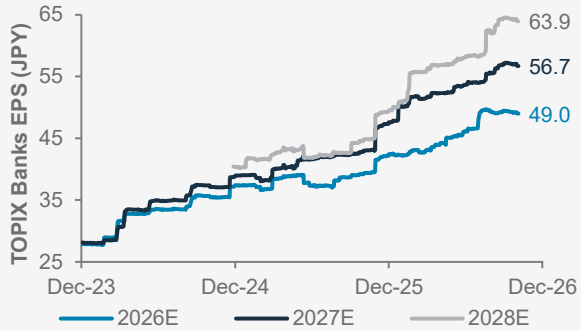
Rationale: The BoJ's September rate hike to 1.25% took effect late in the quarter, so its benefit should be more visible from the December quarter as loans reprice. **We expect three further BoJ rate hikes by June 2027, supporting further NII expansion.** We will also look for signs that stronger corporate investment is driving faster loan growth and higher financing and advisory fees.

We prefer to place more weight on guidance upgrades driven by recurring lending and fee income than on those driven by gains on equity disposals. **Continued reductions in cross-shareholdings** could free up capital for additional buybacks, providing a further boost to return on equity (ROE). **Key risks:** faster-than-expected deposit rate repricing, rising credit costs and bond portfolio losses.

— **Robin Xie, CFA**, *Senior Investment Strategist*

Japanese banks' earnings expectations have risen

TOPIX Banks Index consensus EPS estimates for 2026-28 (JPY)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the fundamental reasons behind your India equity upgrade? Which sectors offer favourable risk-reward?

Our View: Indian equities offer an increasingly attractive risk-reward profile. With India's valuation premium to Emerging Markets (EMs) narrowing, foreign ownership near decade lows, Underweight EM positioning and a stabilising Indian rupee (INR), conditions are increasingly supportive of Indian equity outperformance vs. the broader AxJ region.

Rationale: We have upgraded Indian equities to Overweight within our AxJ equities allocation. While Indian markets have witnessed USD 32bn of foreign investor outflows in 2026 year-to-date, **strong domestic institutional investor inflows of USD 74bn** have more than offset foreign selling. These outflows and the Indian equity market's underperformance vs. global peers reflect broader EM allocation shifts towards AI, rather than weakening Indian fundamentals. Capital has gravitated towards markets such as the US, Taiwan and South Korea, which offer direct exposure to AI beneficiaries. However, we expect market leadership to broaden, as the rapid AI buildout is increasingly debt-funded, and US mid-term election results raise uncertainty. We prefer to diversify and we see investors reallocating towards structurally strong growth markets such as India, which offer non-AI driven growth.

The RBI's measures have supported INR stability, but underlying USD demand remains elevated. Lower oil prices would improve external balances, but **the INR is likely to follow a path of gradual, controlled depreciation rather than a quick downward move**. On valuation to its own historical average, the Nifty 50 one-year forward P/E is trading 18% below its long-term average while ROE at 14.7% is above historical averages. With India now marginally Underweight in large EM portfolios compared to the c.2% average Overweight historically, **the case for a recovery in foreign flows is strengthening.**

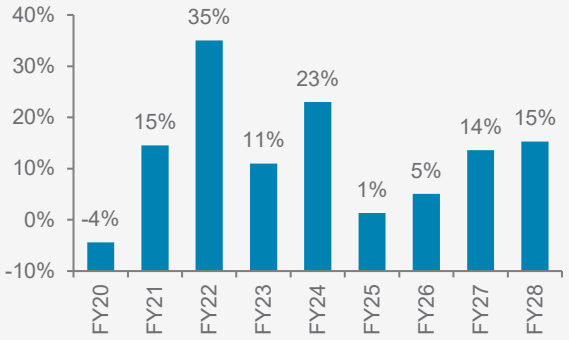
India's earnings growth remains intact. The Nifty 50 clocked Q1 FY27 and Q2 FY27 profit-after-tax growth of c.20% y/y (ex-oil marketing companies). Large-caps offer greater earnings visibility and downside protection, while stronger growth in small- and mid-caps warrants a selective approach given elevated valuations.

India's growth outlook remains supported by a strengthening investment cycle, manufacturing momentum, supply chain diversification, resilient consumption and healthy corporate and banking balance sheets. Importantly, earnings growth remains robust and broad-based across the financial, metals, telecom, automobiles and other domestic sectors, with Nifty 50 earnings growth expectations of c.14-15% over 2027 vis a vis AxJ's technology driven earnings growth of 29% in 2027.

— **Shaily Gang,** *Chief Investment Strategist, India*

Nifty 50 to deliver 14-15% earnings growth in 2027

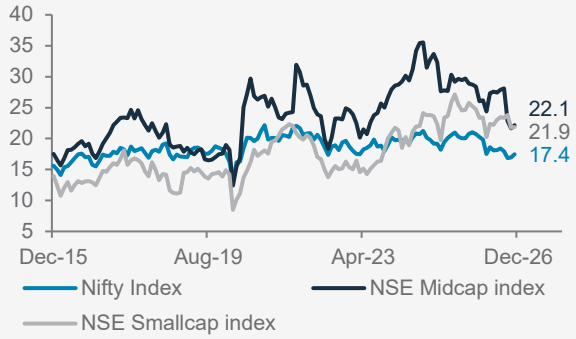
Annual earnings growth for Nifty 50 index



Source: Bloomberg, Standard Chartered

P/E valuation of Nifty 50 index appears reasonable

Consensus 12-month forward P/E for Nifty 50 (Nifty), Nifty Midcap 100 and Nifty Smallcap 100 indices



Source: Bloomberg, Standard Chartered

India's P/E valuation premium to EM is at the bottom of its historical range, but the premium relative to Asia ex-Japan (AxJ) has spiked

P/E valuation premium of India vs. EM and AxJ



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Does the emerging US job market data alter your view of the Fed's rate path and government bond yields?

Our view: We do not expect the recent and incoming US job market data to alter our outlook unless there are significant deviations from the US economy's current trajectory.

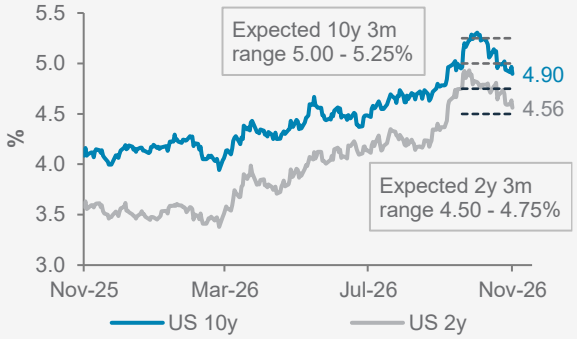
Rationale: The US economy continues to exhibit resilience, with the latest Job Openings and Labour Turnover Survey data showing **job openings surprising to the upside** at 7.5mn. Initial jobless claims remain near three-month lows. There is little evidence of a material slowdown in labour demand. Inflation is expected to trend lower through H2 2027, but the disinflationary impulse remains a medium-term story and is unlikely to manifest meaningfully in the near term.

T**he market is now pricing in two additional 25bps hikes by H1 2027** (down from three previously), in line with our view. These two rate hikes are largely priced into the US government bond yield curve. We estimate **2- and 10-year US government bond yields** to range between 4.5-4.75% and 5-5.25%, respectively, over the next three months. Our twelve-month forecast for 2- and 10-year US government bond yields are 4.25-4.5% and 4.75-5%, respectively, The 2-year yield is already trading within our expected range and would only move materially higher if a significantly stronger-than-expected payrolls print led markets to price in a third hike. With two hikes baked in, long-run disinflation expectations intact and an uncertain fiscal outlook, **the longer end of the yield curve is expected to be less sensitive to a single payrolls release**.

— **Ray Heung,** *Senior Investment Strategist*

We expect 2- and 10-year US government bond yields to range between 4.5-4.75% and 5-5.25%, respectively, over the next three months

US 2- and 10-year government bond yields and expected range



Source: Bloomberg, Standard Chartered

What is your outlook for the GBP following the BoE's rate hike this week? Do you see any impact on EUR/GBP?

Our view: The BoE rate hike supports the GBP, but upside remains limited. We remain constructive on EUR/GBP, expecting a rebound towards 0.8450.

Rationale: The BoE hiked by 25bps to 4% as expected. The GBP was little changed, despite hawkish inflation guidance. With markets pricing only around 50bps of additional BoE tightening over the next 12 months, **we see the GBP remaining vulnerable**. In contrast, the ECB held its deposit rate at 2.50% in October but signalled readiness to tighten if inflation remains elevated. We expect Euro area inflation to rise further, keeping the ECB's tightening bias alive. This suggests EUR/GBP has fallen too far relative to interest rate differentials.

Germany's planned increase in federal debt issuance should support Euro area growth, while Moody's decision not to downgrade France has removed an important EUR tail risk. Meanwhile, **tighter UK fiscal policy** is likely to weigh on domestic growth and business investment. We expect EUR/GBP to recover towards 0.8450.

— **Vincent Tan,** *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

EUR/GBP is oversold; we expect a technical rebound

EUR/GBP and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Why is the AUD underperforming despite the RBA hike?

Our view: The AUD has lagged because markets had largely priced in the RBA's November rate hike to 4.85%, and the bank gave investors less reason to expect another. Equity weakness also weighed on the currency. We remain bullish on AUD/USD and would add on pullbacks. Australia's interest rate advantage and a sustained recovery in risk sentiment should support a move towards 0.72 in three months and 0.74 in 12 months.

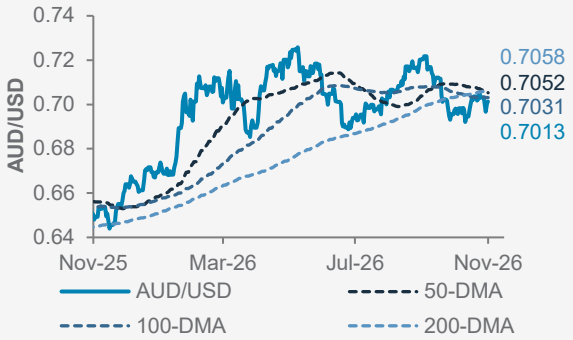
Rationale: Ahead of the 3 November RBA rate decision, market pricing implied an 88% chance of a 25bps hike, leaving little scope for an upside surprise. **What changed after the announcement was the pricing of the next hike.** The RBA dropped its reference to further rate increases, and three members preferred a rate hold. Markets scaled back the odds of rates reaching 5.10% next year to around 30%, thus weighing on the AUD.

The AUD is sensitive to swings in global risk appetite, especially the US tech sell-off spread to global equities, triggering margin calls and weighing on the currency. An equity recovery would ease that pressure. Even after the two 25bps Fed hikes we expect by mid-2027, Australia would retain **a 35bps rate advantage** over the top of the Fed's target range, supporting a gradual AUD recovery.

— **Vincent Tan,** *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

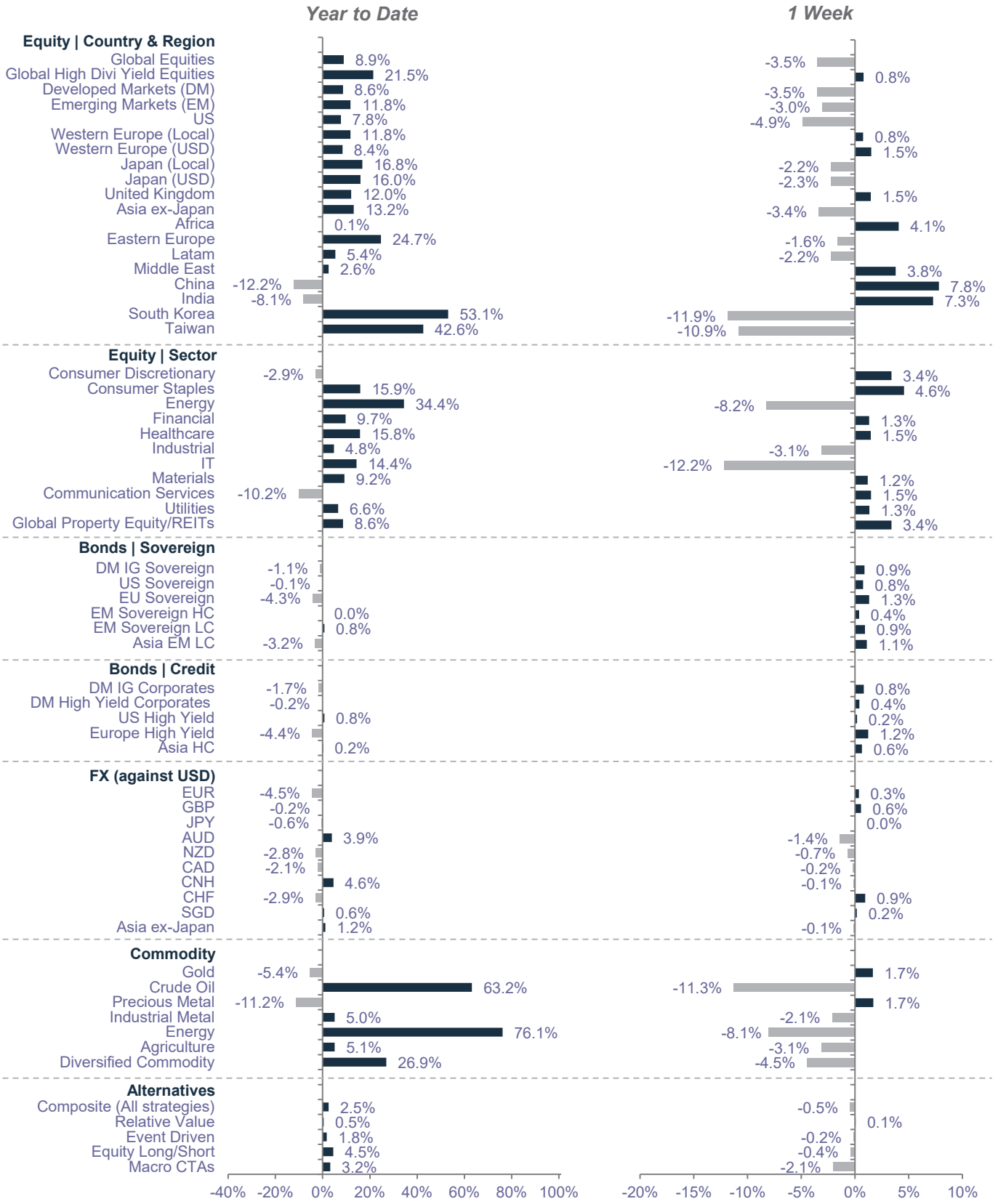
We see AUD/USD upside risks on a sustained recovery in risk sentiment

AUD/USD and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 5 November 2026; 1-week period: 29 October 2026 to 5 November 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	◆		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Japan Financials	▲
		China Technology	▲
Bonds	◆	China Financials	▲
		China Communication	▲
Credit		China Materials	▲
Asia USD	◆	China Healthcare	▲
Corp DM HY	◆		
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	PPI y/y	Oct	5.4%	5.0%
	CNH	CPI y/y	Oct	0.8%	0.9%
	EUR	Sentix Investor Confidence	Nov	–	2.7
TUE	USD	NFIB Small Business Optimism	Oct	–	97.9
	CNH	Exports y/y	Oct	38.3%	36.3%
	CNH	Imports y/y	Oct	34.5%	31.0%
	CNH	Trade Balance	Oct	$128.7b	$133.5b
WED					
THU	USD	Initial Jobless Claims	7-Nov	–	–
	USD	Continuing Claims	31-Oct	–	–
	USD	Existing Home Sales	Oct	3.87m	3.99m
FRI/SAT	USD	PPI Final Demand y/y	Oct	–	6.3%
	USD	PPI Ex Food and Energy y/y	Oct	–	5.0%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,682

Technical indicators for key markets as of 5 Nov close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,354	7,188	7,682	17.8	1.2
STOXX 50	6,232	6,062	6,360	14.5	3.3
FTSE 100	10,783	10,451	11,032	12.4	3.5
TOPIX	3,940	3,754	4,164	14.9	2.5
Shanghai Comp	3,690	3,555	3,845	12.0	3.1
Hang Seng	24,797	23,443	25,511	10.3	3.5
Nifty 50	24,537	22,951	25,351	17.9	1.7
MSCI Asia ex-Japan	1,018	962	1,114	8.4	3.0
MSCI EM	1,544	1,460	1,688	8.4	3.4
Crude oil (WTI)	90.5	81.3	105.1	na	na
Gold	4,088	3,900	4,247	na	na
UST 10Y Yield	4.83	4.64	5.19	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 5 Nov close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.93
Global Equities	◐	↓	1.47
Gold	●	↑	1.71
Equity			
MSCI US	◐	→	1.50
MSCI Europe	●	↓	1.57
MSCI AC AXJ	●	↓	1.50
Fixed Income			
DM Corp Bond	●	↑	2.11
DM High Yield	●	→	1.54
EM USD	●	↑	1.65
EM Local	●	→	1.81
Asia USD	●	↑	1.95
Currencies			
EUR/USD	◐	↓	1.34

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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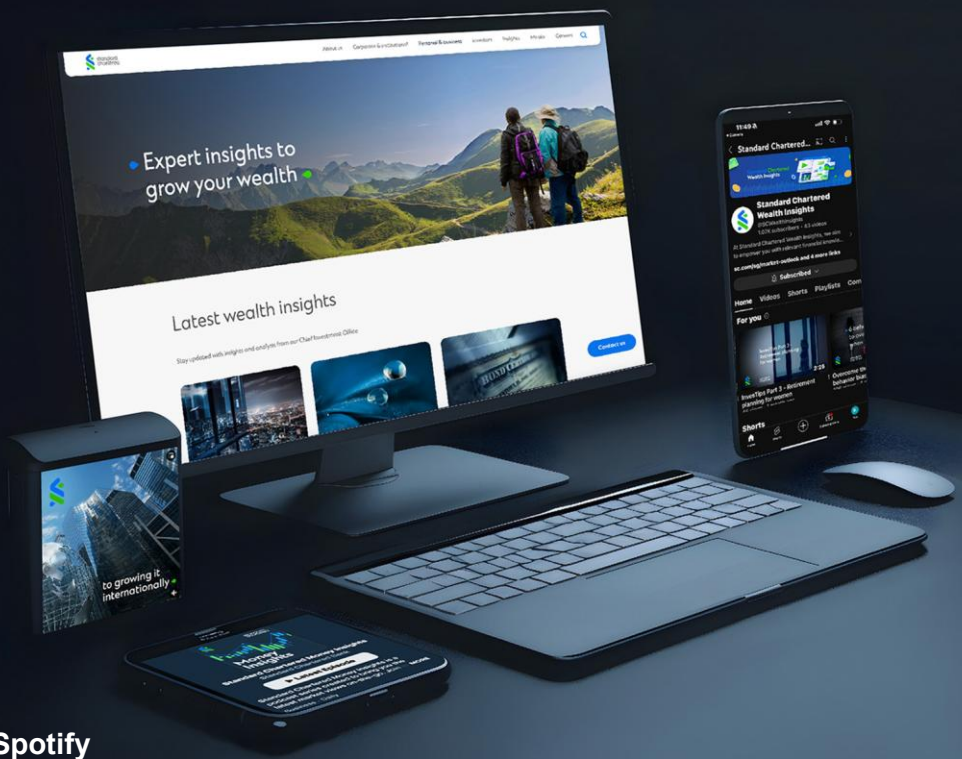
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WS Global CIO Office
23 October 2026

Weekly Market View

Policy, politics and earnings

➔ We retain our defensive and diversified stance across assets, sectors and regions amid near-term uncertainty around monetary policy, politics and earnings.

➔ The next two weeks will be busy for major central banks, US political watchers and technology leaders powering the AI supercycle. We expect the Fed, ECB and BoJ to hold rates next week, but markets will focus on whether central banks are turning more hawkish due to the latest surge in fuel prices.

➔ The US mid-term elections are expected to give Democrats control of the House and Senate, with implications for taxes and the AI-led investment boom. Meanwhile, the consensus is expecting the US tech sector to report over 60% y/y earnings growth for Q3.

➔ Each of these three drivers has the potential to surprise markets. We close and lock in gains on our European CoCo[1] bond and US 10-year government bond opportunistic ideas amid French and US political risks.

What are the takeaways from US tech sector earnings reported so far?

Are you still bullish on US 10-year government bonds?

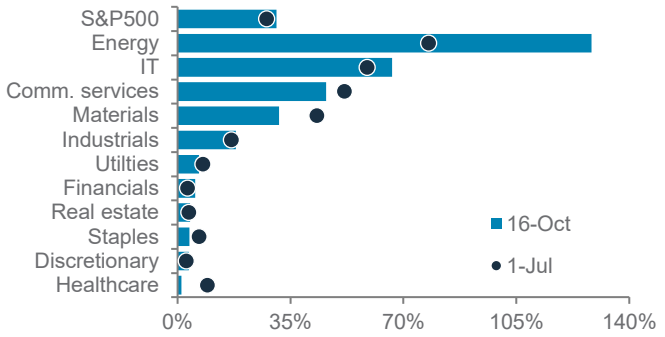
Does Euro area fiscal and political uncertainty affect your EUR/USD view?

[1]Important disclosures can be found in the Disclosures Appendix.

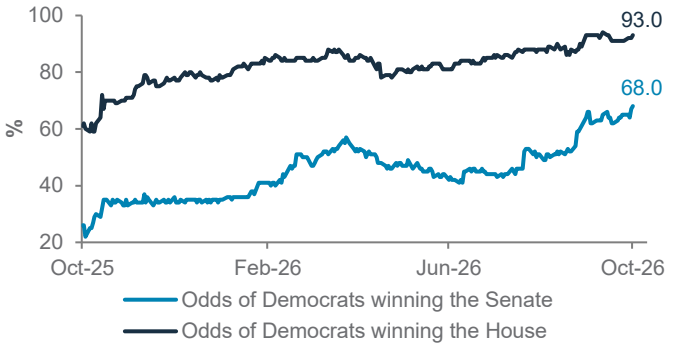
Charts of the week: Watching earnings and a potential 'Blue wave'

US Big Tech earnings, mid-term elections and major central bank policy meetings are the near-term market drivers

Consensus S&P500 index Q3 earnings estimates by sector



Chance of Democrats winning control of US House and Senate*



Source: Bloomberg, Standard Chartered; *Polymarket probability

Editorial

Policy, politics and earnings

Strategy summary: We retain our near-term defensive and diversified stance across assets, sectors and regions amid near-term uncertainty around monetary policy, politics and earnings. The next two weeks will be busy for major central banks, US political watchers and technology leaders powering the AI supercycle. We expect the Fed, ECB and BoJ to hold rates next week, but markets will focus on whether central banks are turning more hawkish due to the latest surge in fuel prices. The US mid-term elections are expected to give Democrats control of the House and Senate, with implications for taxes and the AI-led investment boom.

Meanwhile, the consensus is expecting the US tech sector to report over 60% y/y earnings growth for Q3, the biggest jump in over two decades outside the post-COVID rebound. Each of these three drivers have the potential to surprise markets.

Big Three to hold monetary policy: We expect the Fed, ECB and BoJ to hold policy rates next week, after September's hikes, as they assess whether higher bond yields have tightened financial conditions enough to offset fuel-price-driven inflation. We expect the Big Three to hike next in December as fuel prices are likely to stay elevated into early next year due to refining capacity constraints. Nevertheless, the Fed and ECB are likely to deliver less than around 60bps of rate hikes priced in by money markets over the next 12 months on the back of an eventual easing of oil and fuel prices leading to disinflation by H2 2027. This outlook means 3-7-year Developed Market investment grade bonds currently offer attractive risk-reward.

Opportunity in Australian bonds. Other major central banks, such as the Bank of England, Bank of Canada and Reserve Bank of New Zealand are likely to hike rates by 25bps in the next two weeks given their focus on taming near-term inflation. However, we believe the Reserve Bank of Australia (RBA) is close to the end of its hiking cycle, even if it hikes one last time in the coming months (money markets give a 60% chance of a hike on 3 November). Australia's domestic labour and housing markets and business confidence are softening after the RBA hiked its policy rate four times this year to a 15-year high. Meanwhile, Australia's cash rate is 60bps higher than the US policy rate, supporting the AUD. We continue to see attractive income and FX gain opportunities from AUD corporate bonds.

A 'Blue Wave' in the US? Prediction markets strongly favour Democrats taking the House of Representatives and possibly the Senate in the 3 November US mid-term elections. While an opposition sweep in the mid-terms has historically delivered the best 12-month returns for equities among all scenarios, partly due to the resulting policy gridlock, a decisive Democratic "blue wave" could increase longer-term risks of higher taxes and uncertainty over policy towards AI investment and data centres. With the Senate race still close and prediction markets fallible, we remain cautious on risk assets in the near term.

Closing EU bank contingent convertible bonds (CoCos[1]) and US 10-year government bond ideas: We lock in 2% gains in EU CoCos and 1.7% gain in US 10-year government bond ideas amid French and US political risks (page 5-6). We continue to hedge any inflation risks through inflation-protected bonds and geopolitical risk through an Overweight in gold.

Watching Big Tech earnings: Upcoming Big Tech earnings raises uncertainty as market leadership remains concentrated and share-price reactions more mixed. With valuations less likely to drive returns, earnings delivery and sustainability of AI investment, funding and monetisation and broadening out of earnings beyond tech will be critical, raising the risk of volatility and sector divergence. We remain invested but defensively positioned, favouring diversification across sectors and regions.

Staying defensive and diversified. We recently upgraded the defensive US Healthcare sector to Overweight, while retaining our Overweights to US tech and materials as well as financials in the US, Euro area and Japan. We also downgraded the more volatile Communications Services sector to Neutral and took profits on the semiconductor segment earlier this month before the latest correction. Our defensive and diversified stance should preserve participation in further equity upside, while reducing exposure to earnings disappointments and supporting resilience through the reporting season.

— ***Rajat Bhattacharya***

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The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

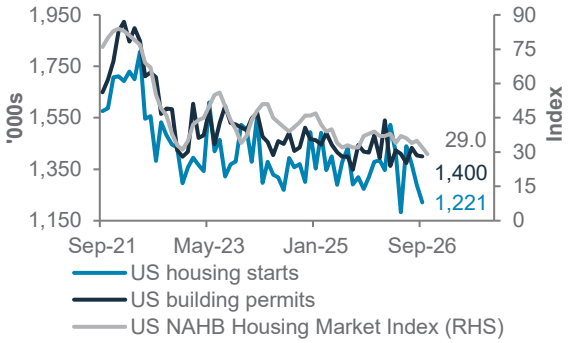
(+) factors: Resilient China growth; potential China fiscal policies

(-) factors: Softer Euro area sentiment; geopolitical and trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US leading index held steady at 0% in September • US building permits came in slightly above estimates at 1.40mn in September • China Q3 GDP grew 4.5% y/y, beating estimates • China retail sales grew 1.1% y/y in September, beating expectations;	• US housing starts fell more than expected to 1.22mn in September • Euro area and Germany ZEW sentiment expectations fell more than expected in October
	Our assessment: Neutral – Stronger-than-expected China growth vs. softer Euro area sentiment	
Policy developments	• China's statistics bureau pledged to step up efforts to boost domestic demand and make macro policies more effective	• BoE's Greene said inflation risks were higher than expected and reiterated case for a rate rise • ECB's Kazaks said further rate hikes may be needed if inflation stays elevated • The Reserve Bank of India minutes showed policymakers favour further tightening to tame inflation
	Our assessment: Negative – Additional policy tightening in Euro area, UK, India due to upside inflation risk	
Other developments		• President Trump hinted at restarting Iran strikes after the mid-term election • US sanctions five Chinese firms over alleged AI trade-secret theft • Houthis carried out fresh attacks on Saudi energy, airport, and military targets • China has threatened retaliation if UK raises tariffs on Chinese EVs; has imposed export curbs on drones and machinery
	Our assessment: Negative – Geopolitical and trade tensions	

US housing starts slumped in September as high mortgage rates hurt, while housing permits offered limited support to future construction

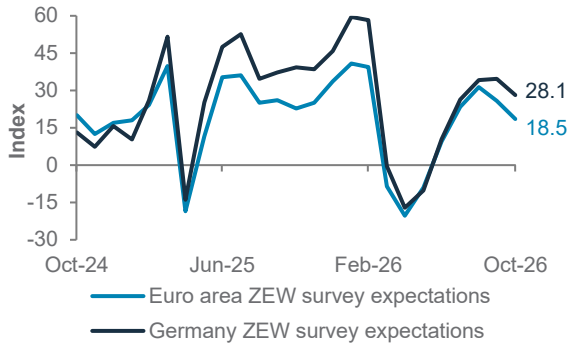
US housing starts, building permits and the NAHB Housing Market Index



Source: Bloomberg, Standard Chartered

Euro area ZEW expectations fell to a four-month low in October, with Germany's expectations missing estimates

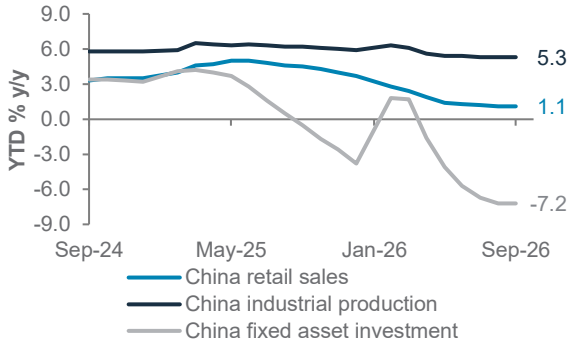
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's recovery remains uneven, with resilient industrial production contrasting with subdued retail sales and contracting fixed asset investment

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

What are the key takeaways from the technology sector earnings reported so far this week?

Our view: Recent technology sector earnings results point to strong compute demand and continued capex expansion, supporting our positive long-term view on the AI investment theme. However, rising funding and execution risks warrant near-term caution. We prefer to avoid increasing exposure to higher-risk areas within the technology sector for now.

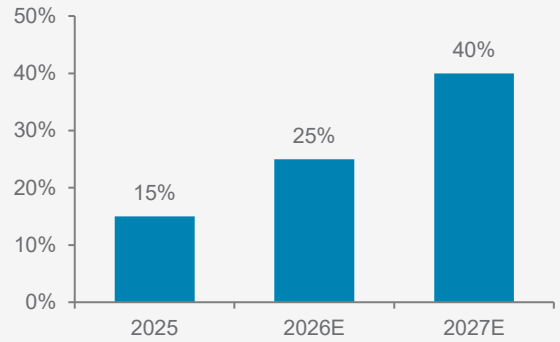
Rationale: Earnings results reported this week suggest major tech companies remain committed to expanding their AI infrastructure. While this bodes well for AI infrastructure providers, ambitious expansion plans imply that an increasing share of AI capex is likely to depend on debt financing. **We expect debt-financed AI capex to rise from c.25% of AI capex in 2026 to c.40% in 2027**.

Greater reliance on borrowing increases sensitivity to interest rates, while deployment delays could postpone revenue recognition amid ongoing financing costs. However, **evidence of improving AI monetisation and adoption should strengthen operating cash flows and support internal capex funding**. Against this backdrop, we will assess Big Tech earnings next week for greater clarity on capex guidance and funding and AI monetisation trends.

— **Ryan Goh,** *Investment Strategist*

AI capital expenditure (capex) is expected to become more reliant on debt financing

Estimated share of AI capex financed through debt



Source: Company reports, Standard Chartered

Are you still positive on Euro area bank equities amid heightened political and fiscal uncertainty in the region?

Our view: We remain positive on Euro area bank equities, supported by resilient earnings and shareholder-friendly capital return policies. While France's fiscal uncertainty and a softer growth outlook warrant caution, the recent pullback in Euro area bank equities offers selective opportunities. We favour well-capitalised banks with strong deposit franchises and diversified earnings.

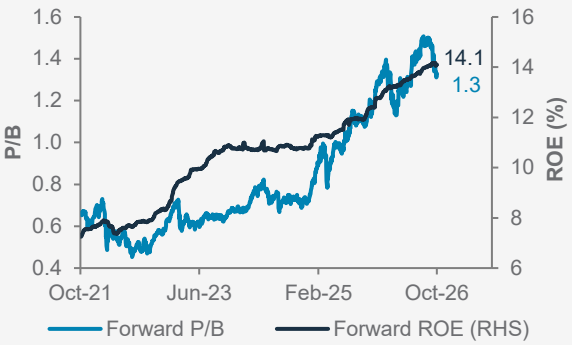
Rationale: We expect Euro area banks' **Q3 2026 net interest income to grow 1.5-3.0% q/q**, led by Spanish banks, driven by higher rates and continued asset repricing. Resilient fee income from wealth management and investment banking activity, as well as dividends and buybacks, should provide further support. **Price-to-book (P/B) valuations have eased,** despite expectations for healthy return on equity (ROE), thus improving risk-reward.

Fiscal uncertainty in France has widened sovereign spreads, **pressuring banks' bond holdings and funding costs**. Although French banks represent 13% of the Euro area Bank Index, volatility could spread to regional financial markets. However, **stress in the broader banking system appears limited**, supported by strong capital buffers and ECB tools to contain disorderly market moves and sovereign market contagion. We will continue to monitor credit trends, sovereign spreads and banks' 2027 earnings guidance.

— **Robin Xie,** *Senior Investment Strategist*

Euro area banks' valuations have eased despite resilient profitability expectations

Forward P/B ratio vs. expected ROE



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What has driven the recent weakness in China equities, and what is your outlook from here?

Our view: We maintain China equities as a Core holding, as valuations remain inexpensive. Rapid technological innovation and investment in AI localisation provide tailwinds, but the potential for a re-rating appears delayed. Investors should seek to diversify their portfolios and reduce concentration risk.

Rationale: China equities have weakened, driven by **mounting scepticism over AI capex returns, structural margin compression and concerns about the country's significant financing requirements**. Another notable feature in China has been significant share issuance, which has diluted earnings per share and weighed on the MSCI China Index's performance. These pressures have been compounded by geopolitical headwinds, restrictions on advanced chips, an enduring property sector contraction and weak domestic demand. September's stimulus measures also disappointed markets in terms of their scale and pace of delivery.

Notwithstanding these headwinds, valuations remain inexpensive, supported by **rapid domestic innovation** and **structural tailwinds in AI localisation**, leading us to retain China equities as a Core holding. Elevated volatility reinforces the need to be defensively positioned, favouring diversification rather than relying on technology sector concentration. We also remain **Overweight China's healthcare, financial and materials sectors**.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

Significant share issuance has kept the market capitalisation fairly stable, while the MSCI China Index has declined c.20% over the past one year

MSCI China Index price and market capitalisation



Source: FactSet, Bloomberg, Standard Chartered

Are you still bullish on US 10-year government bonds?

Our view: We are closing our opportunistic bullish idea on US 10-year government bonds at a gain of 1.7%. The risk-reward has become less compelling after the yield broke below 5%, the lower bound of our three-month forecast range of 5.00-5.25%.

Rationale: The US 10-year yield fell over 17bps to **4.97%** on 22 October – its first move below 5% since 23 September and **biggest one-day drop** since March 2023. A sell-off in AI-related equities and renewed Middle East tensions drove investors towards safe havens. Earlier this month, the yield hit its highest level in over two decades. The forces behind the rally are fragile, though. Oil prices remain elevated amid escalating Middle East tensions, and September US consumer inflation rose to 3.7% y/y. Fed officials have signalled there is **no urgency to raise rates at the 27-28 October meeting**, but persistent price pressures keep further tightening on the table. We prefer to lock in gains and close our opportunistic bullish idea on 10-year government bonds at a gain of 1.7%.

— **Jonathan Liang, CFA**, *CIO, Fixed Income & FX*

Risk-reward of US 10-year government bond yields is less compelling after the yield broke below 5%

US 10-year government bond yields



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is your outlook for French bank bonds, especially ahead of France's upcoming sovereign credit rating reviews?

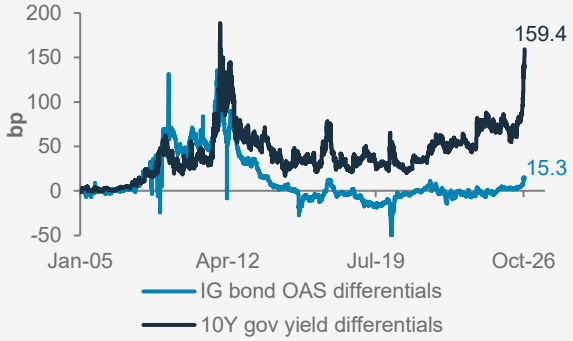
Our view: The recent sell-off in French bank bonds is a repricing of tail risks, not a credit story. We expect further price volatility until the April 2027 French presidential election, particularly at the junior end of the capital structure, so we are closing our opportunistic EU bank contingent convertibles (CoCos[1]) idea at a gain of 2.0%.

Rationale: We believe the recent sell-off in French bank bonds reflects **domestic political and fiscal risks rather than weaker credit fundamentals**. The sustained widening of the OAT-Bund spread has raised concerns about the **profit and loss (P&L) impact on banks' sovereign debt holdings**. Banks provide limited disclosure on these exposures. However, banks' investment portfolios are generally diversified, and holdings booked at amortised cost should soften the P&L impact. Near-term catalysts include the upcoming sovereign credit rating reviews. A sovereign downgrade could trigger bank **rating downgrades**, with domestically focused lenders potentially more exposed than regionally diversified peers. A sovereign credit event is not our base case**,** but we expect headline risks to persist until the French presidential election. Against this backdrop, we are closing our opportunistic EU bank CoCos idea.

— **Cedric Lam**, *Senior Investment Strategist*

A widening France-Germany 10-year government bond yield spread and a stable investment-grade (IG) bond option-adjusted spread (OAS) suggest a repricing of political and fiscal risk rather than credit risk

France-Germany IG bond OAS and 10-year government bond yield differentials



Source: Bloomberg, Standard Chartered

Will the November US mid-term elections and European bond volatility support a sustained Swiss franc (CHF) rebound?

Our view: We expect a near-term CHF rebound, supported mainly by safe-haven demand amid European bond volatility. We believe the US mid-term elections will be a secondary driver.

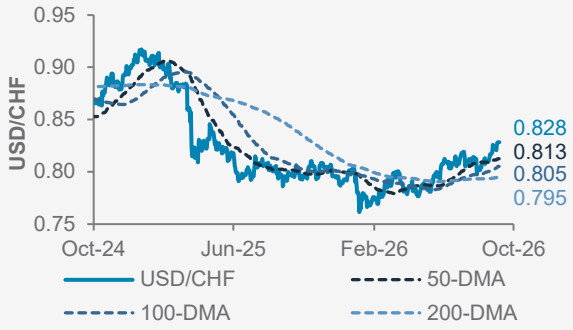
Rationale: European sovereign bond volatility provides the stronger catalyst for CHF strength. The France-Germany government bond yield spread remains elevated near **160bps**, reflecting heightened French fiscal concerns and reinforcing the CHF's safe-haven appeal. **The US mid-terms could provide additional support for the CHF**. A Democratic victory in either chamber is expected to constrain further fiscal expansion, potentially weighing on the USD. However, this would not necessarily lead to faster fiscal consolidation.

The SNB's 0% policy rate leaves **the CHF at a sizeable interest-rate disadvantage vs. the USD**, constraining sustained CHF gains. With **EUR/CHF** below 0.90, excessive CHF strength could also increase the risk of SNB intervention. A decisive USD/CHF break below 0.8130 would strengthen the technical case for a more sustained CHF rebound.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

USD/CHF failed to break above 0.8400 and is likely to test support at 0.8130

USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Would worsening budget deficits and political uncertainty across parts of Europe affect your view on EUR/USD and Euro area government bond yields?

Our view: Fiscal and political concerns constrain near-term EUR/USD gains, with France being the primary vulnerability. We expect EUR/USD to recover towards the 1.17-1.18 range over the next 12 months, supported by continued Euro area economic growth and an expected fading of USD support. We expect wider differentials in Euro area government bond yields, with political risk premium elevated in French government bonds (OATs) and German government bonds (Bunds) supported by safe-haven demand.

Rationale: France's high public debt, large budget deficit and political obstacles to fiscal adjustments are weighing on market confidence, with the country's **10-year government bond yield rising above 5%**. The risk of stress spreading to Italy and Spain adds to regional concerns, although current evidence does not establish a broad European fiscal crisis. German government bonds should benefit from **safe-haven demand**, while fiscal concerns keep risk premia on vulnerable countries' bonds elevated. EUR/USD remains more sensitive to **US-Germany interest-rate differentials** and broader market confidence than to French bond yields alone.

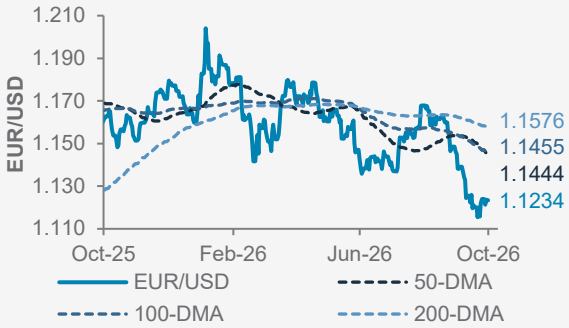
France's fiscal risks, elevated energy costs and high US interest rates weigh on the EUR in the near term. Over the next 12 months, **Germany's multi-year public investment programme, resilient exports and sound banking-sector fundamentals** are expected to support Euro area growth. We expect the Fed's rate-hiking cycle to peak by mid-2027, reducing USD support and driving the EUR towards **1.17-1.18** .

The **principal tail risk** is fiscal stress widening government bond yield spreads and spilling over into bank funding conditions and lending activity, weakening growth and delaying the EUR's recovery.

— **Vincent Tan,** *Senior Investment Strategist*
— **Cedric Lam**, *Senior Investment Strategist*

France's fiscal risks constrain near-term EUR/USD gains, but a modest recovery remains likely

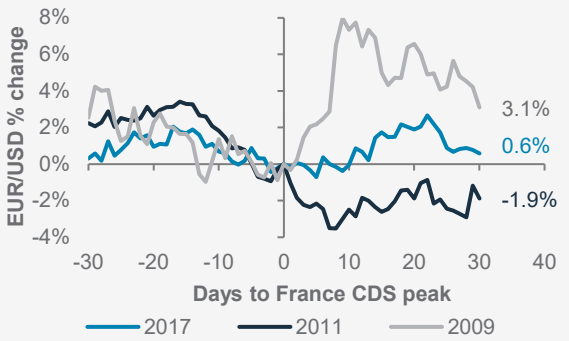
EUR/USD and technical indicators



Source: Bloomberg, Standard Chartered

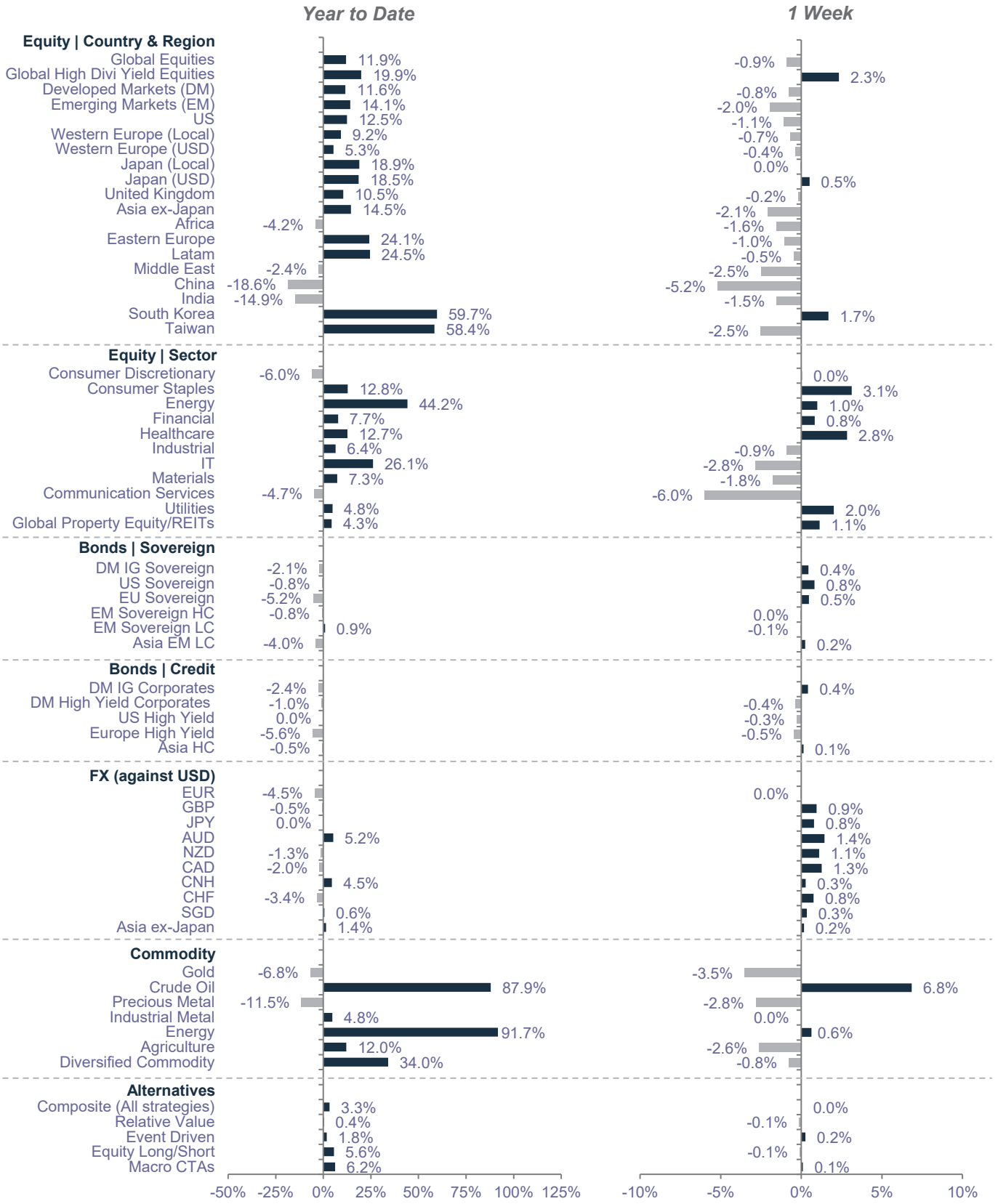
EUR/USD has tended to strengthen following France's past credit default swap (CDS) peaks

EUR/USD % change, France's five-year CDS



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 22 October 2026; 1-week period: 15 October 2026 to 22 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
		China Financials	▲
Credit		China Communication	▲
Asia USD	◆	China Materials	▲
Corp DM HY	◆	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,800

Technical indicators for key markets as of 22 Oct close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,663	7,572	7,800	18.6	1.2
STOXX 50	6,087	5,983	6,278	14.2	3.3
FTSE 100	10,725	10,431	10,956	12.3	3.6
TOPIX	3,998	3,916	4,140	15.5	2.4
Shanghai Comp	3,658	3,549	3,867	12.0	3.2
Hang Seng	22,935	22,124	24,499	9.5	3.8
Nifty 50	22,688	22,082	23,391	16.8	1.9
MSCI Asia ex-Japan	1,030	983	1,122	9.0	2.7
MSCI EM	1,576	1,513	1,699	8.9	3.1
Crude oil (WTI)	99.5	87.4	111.0	na	na
Gold	4,025	3,905	4,260	na	na
UST 10Y Yield	4.95	4.79	5.24	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	IFO Business Climate	Oct	–	89.9
	USD	Chicago Fed Nat Activity Index	Sep	–	-0.04
TUE	CNH	Industrial Profits y/y	Sep	–	4.2%
	USD	Durable Goods Orders	Sep P	1.4%	-0.1%
	USD	Conf. Board Consumer Confidence	Oct	80.3	81.9
WED	NZD	RBNZ Official Cash Rate	28-Oct	–	2.8%
	EUR	GfK Consumer Confidence	Nov	–	-30.6
	CAD	Bank of Canada Rate Decision	28-Oct	2.3%	2.3%
THU	USD	FOMC Rate Decision (Upper Bound)	28-Oct	4.0%	4.0%
	EUR	Economic Confidence	Oct	–	97.9
	USD	Personal Income	Sep	0.3%	0.2%
	USD	PCE Price Index y/y	Sep	3.6%	3.4%
	USD	Core PCE Price Index y/y	Sep	3.1%	3.0%
	EUR	ECB Deposit Facility Rate	29-Oct	–	2.5%
FRI/SAT	JPY	BOJ Target Rate	30-Oct	–	1.3%
	EUR	Unemployment Rate	Sep	–	6.4%
	CNH	Manufacturing PMI	Oct	–	50.1
	CNH	Non-manufacturing PMI	Oct	–	50.2

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 22 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.26
Global Equities	●	↑	1.77
Gold	●	↑	2.12
Equity			
MSCI US	●	→	1.57
MSCI Europe	●	↑	1.71
MSCI AC AXJ	●	↓	1.54
Fixed Income			
DM Corp Bond	●	↑	1.96
DM High Yield	●	↓	1.54
EM USD	●	→	1.64
EM Local	●	↑	1.53
Asia USD	●	→	1.74
Currencies			
EUR/USD	◐	↓	1.49

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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Market views on-the-go

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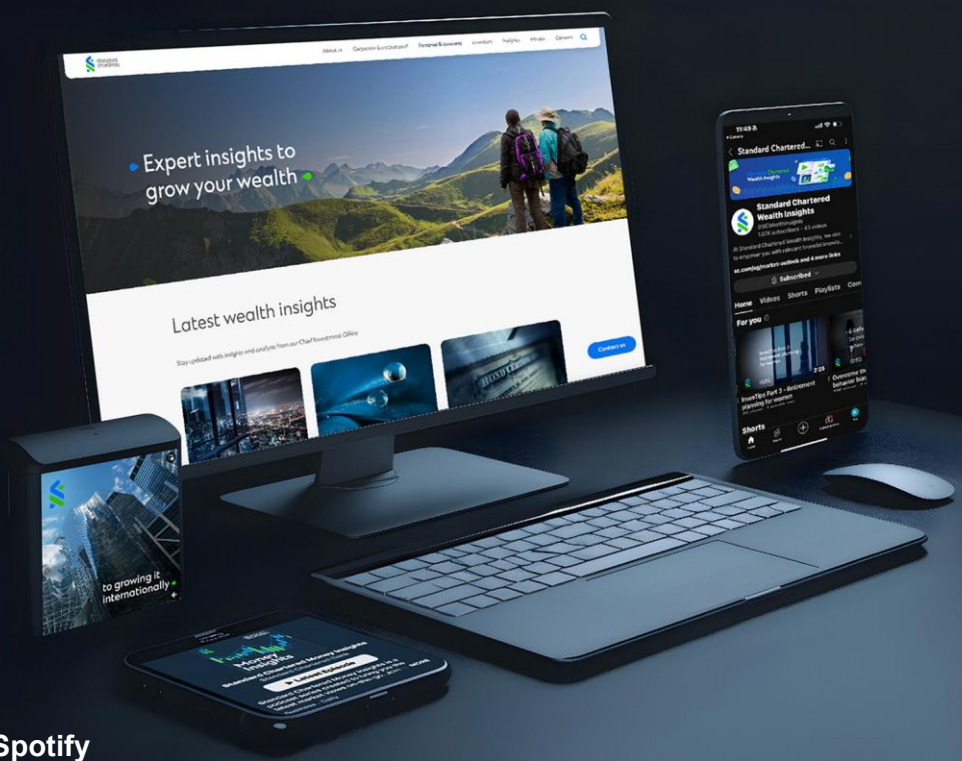
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WS Global CIO Office
16 October 2026

Weekly Market View

Staying defensive and diversified

➔ We turned defensive towards equities two weeks ago. Since then, the Nasdaq-100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields, tightening financial conditions

➔ We have extended our defensive stance this week, closing our opportunistic bullish Communication Services idea and initiating a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive.

➔ In fixed income, we see opportunities in the US 10-year government bond. We await clearer AI profit margin and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

What are the takeaways from US bank earnings? Are you still positive on Japan banks?

How does the September US inflation report impact your USD and bond views?

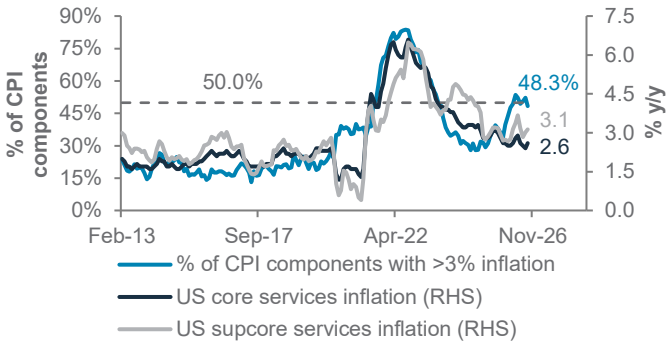
Can Big Tech earnings guidance sustain confidence in the AI investment cycle?

Important disclosures can be found in the Disclosures Appendix.

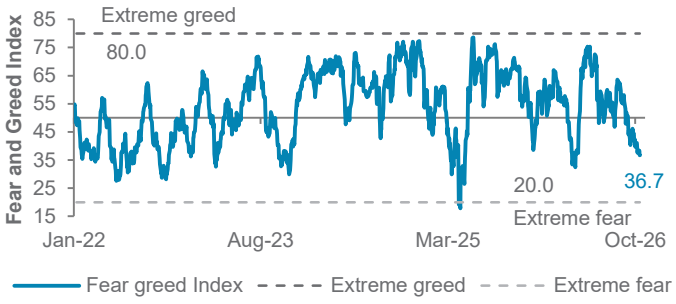
Charts of the week: No capitulation

A hotter-than-expected US inflation report triggered a pullback in risk assets, but there are few signs of capitulation so far

US core and supercore inflation; US inflation breadth*



Our 'Fear and Greed' indicator



Source: Bloomberg, Standard Chartered; *share of US consumer inflation components rising more than 3%

Editorial

Staying defensive and diversified

Strategy summary: Two weeks ago, we turned defensive towards equities, locking in semiconductor equity gains amid elevated bond volatility, narrowing market breadth and political uncertainty before the US mid-term elections. The near-term outlook reflected a less favourable risk-reward balance. Since we turned defensive, the Nasdaq 100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields.

We have extended our defensive stance this week, downgrading US Communication Services equities to Neutral and upgrading US Healthcare to Overweight. We also closed our opportunistic bullish Communication Services idea and initiated a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive. In fixed income, we see opportunities in US 10-year government bonds. We await clearer AI profit margins and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

Hot US inflation triggers equity pullback; not hot enough for an October Fed hike: Risk assets pulled back after September's hotter-than-expected inflation data (headline 3.7% y/y; core 2.6% y/y). Higher gasoline and diesel prices were the main drivers, but passthrough appeared in airline fares, used cars and transportation services, showing pressures were not confined to energy. Almost half of inflation components are still rising above 3%, a measure recently cited by Fed Chair Warsh. Producer inflation also beat estimates. The reports revive the possibility of an October Fed rate hike, but we expect a divided Fed to weigh it against September's soft jobs report and narrowly hold this month. A December hike appears more likely if inflation remains firm. Although Fed Chair Warsh did not comment on policy at an IMF speech this week, New York Fed chief Williams said he saw no need to hike in 2027. Our base case remains two further hikes by June 2027.

Limited equity pullback so far. Equities fell sharply after the US inflation report, but the pullback is limited. The Nasdaq 100 is 4.5% below its record high, while the S&P 500 remains close to all-time highs despite the latest decline. The S&P 500 volatility index (VIX) has risen from below 15 to 18.2, still well under the 25–30 range typically associated with capitulation and forced selling. Meanwhile, US government bond volatility (MOVE) remains elevated after surging since September. Our stock-bond quant model turned more negative (-2) this week, signalling elevated equity volatility in the near term.

When to turn more constructive on stocks? We would turn more constructive when capitulation signals align: the Nasdaq 100 approaches a 10% drawdown, the VIX rises to 25–30 and our 'Fear and Greed' index enters "extreme fear". Greater confidence would also require easing concerns about AI spending and technology firms' exposure to neocloud revenue, lower bond volatility and our stock-bond model turning positive again. Until these conditions emerge, volatility may remain elevated, favouring a defensive equity stance. Political risk should ease after the US mid-term elections. We continue to seek selective opportunities following excessive corrections.

US financials remain a preferred sector after Q3 earnings: US large banks' earnings were mixed, but underlying trends remain encouraging. Healthy loan and deposit growth supports net interest income, while resilient consumer spending, wealth management activity and a solid M&A and refinancing pipeline strengthen the outlook. Credit risks appear manageable. We remain constructive and favour stronger, diversified franchises.

US government bonds offer value as yields spike: The reversal in US government bond yields after their initial inflation-driven spike suggests limited further upside. The 10-year yield briefly reached 5.32% before slumping as falling equities prompted short-covering. We expect a near-term 5.00–5.25% range and view moves above 5.25% as attractive entry points for our opportunistic 10-year government bond idea. Structural pressures, including term premium and increasing supply to fund fiscal deficits and AI investments, prevent us from turning outright bullish on longer maturities. We, therefore, continue to prefer 3–7-year maturities in broader bond allocations.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

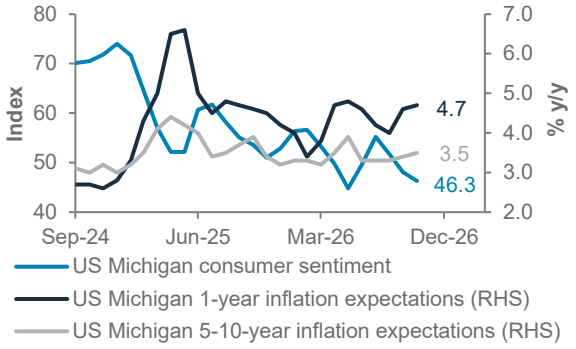
(+) factors: Strong China exports, ramped up fiscal supports

(-) factors: Higher-than-expected US inflation and weak US sentiment; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US existing home sales rose unexpectedly to 3.99mn in September • China exports grew 36.3% y/y in September, above estimates	• US headline and core consumer and producer prices rose more than expected in September • US Michigan consumer sentiment fell in October, with rising 1-year and 5-year inflation expectations • US core retail sales slowed and controlled group sales missed estimates in Sep • China consumer price inflation rose by 0.9% y/y in Sep, missing estimates
	Our assessment: Negative – Strong China exports vs. higher-than-expected US inflation and weak US sentiment	
Policy developments	• Fed's Williams said no need for another hike in 2027 after one more hike this year. Waller said inflation expectations are well anchored • Fed's latest Beige Book saw most districts reporting growth • China increased fiscal spending to support its GDP growth target	• The Fed's Hammack said the Fed should move "relatively quickly" to a restrictive monetary policy • ECB's Wunsch said the ECB will likely need to raise interest rates further as inflation approaches 4% • RBA meeting minutes struck a hawkish tone on the outlook for monetary policy
	Our assessment: Neutral – China fiscal policies, divergent Fed views	
Other developments	• EU and China reached a deal to cut Chinese hybrid car exports to Europe by more than half	• Houthis ramped up strike against Saudi cities and Aramco complex with missile and drone attacks • Ukraine will keep its strikes unless Russia agrees to energy ceasefire
	Our assessment: Negative – Intensifying geopolitical tensions	

US Michigan consumer sentiment index fell to 46.3 as high prices and borrowing costs continue to weigh on households

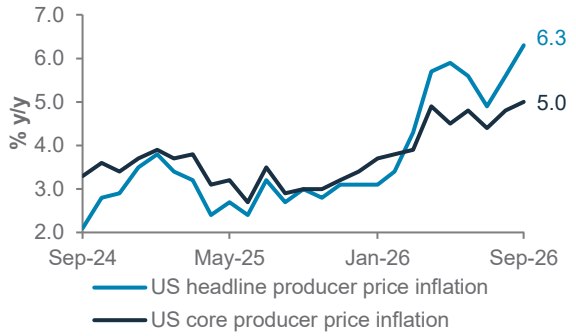
US Michigan consumer sentiment, 1-year and 5-10-year inflation expectations



Source: Bloomberg, Standard Chartered

US headline producer price inflation rose to 6.3% y/y, beating estimates and marking its second-highest level since November 2022

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China consumer price inflation missed consensus estimates, while producer prices rose at the fastest pace since June 2022 due to fuel costs

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

How does the September 2026 US Consumer Price Index (CPI) report alter your view on the USD and bond yields?

Our view: The hotter-than-expected CPI print raises the odds of an October Fed hike, though we still expect a hold followed by a rate hike in December. In the near term, we maintain our view that the US 10-year government bond yield will range between 5.00% and 5.25%, while the USD will remain supported as markets reassess the likelihood of further Fed hikes. Additional gains would depend partly on markets pricing a faster or more prolonged tightening cycle, while clearer signs of an approaching policy rate peak could see the USD ease back.

Rationale: September US consumer inflation came in above consensus across the board – **headline CPI** rose 3.7% y/y (vs. 3.6% estimate), and **core CPI** rose 2.6% y/y (vs. 2.5% estimate) – marking the fastest headline acceleration in five months. This shifts the balance of risks **modestly hawkish**. Unsurprisingly, the market-implied probability of an October Fed hike rose over 50% overnight but closed the day at 32.7% – 9ppt higher than Tuesday's close.

We believe a split Fed will weigh this inflation report against the soft September jobs report and narrowly vote to keep **rates on hold this month**. Our base case remains for **two more Fed hikes by June 2027**. A December rate hike now looks more like a done deal, especially as persistently higher oil prices keep headline and core inflation elevated for at least the next few months. Any re-escalation of the Middle East conflict after the **US mid-term elections** would exert pressure on the Fed, although we believe Republicans would show greater restraint in US foreign action if they suffer steep Senate losses, which looks increasingly likely.

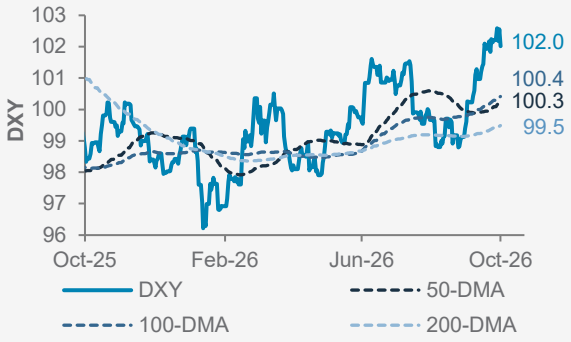
The intra-day price action in US government bonds was instructive. **The US 10-year yield briefly spiked to 5.32% on the print** before closing materially lower, as pre-existing bearish positioning was unwound and Fed speakers (Barkin, Goolsbee) stopped well short of signalling an imminent move. This dynamic reinforces our view that the **technical selling pressure** driving yields towards the upper end of our range is fading. Structural drivers – term premium, fiscal supply concerns and 'higher for longer' Fed repricing – remain intact and keep us from turning outright bullish on duration. However, our opportunistic bullish idea in US 10-year government bonds initiated at September-end remains, as we continue to view spikes in US 10-year yields over 5.25% as a **good risk-reward entry**. From a longer-term portfolio standpoint, we continue to favour the 3-7-year tenor.

On FX, elevated US government bond yields should sustain the USD's **interest rate appeal**. However, expected hikes alone will not drive further appreciation. Stronger data or firmer Fed guidance would provide fresh support, while evidence that tightening is nearing completion would temper the USD's strength.

— **Vincent Tan**, *Senior Investment Strategist*
— **Ray Heung**, *Senior Investment Strategist*

The US Dollar Index (DXY) is likely to stay rangebound between 102 and 103, supported by elevated US government bond yields

The DXY and technicals



Source: Bloomberg, Standard Chartered

The US 10-year government bond yield spiked initially after the US CPI print, but closed the day lower. We expect the US 10-year yield to stay rangebound within 5.00-5.25% in the near term

US 10-year government bond yield



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are your key takeaways from US bank earnings?

Our view: Q3 2026 earnings results from major US banks have been mixed, but underlying trends remain encouraging. Healthy loan and deposit growth, resilient consumer spending and wealth management activity continue to support the sector. Credit risks remain manageable. We remain constructive on the US financial sector, favouring stronger, diversified franchises.

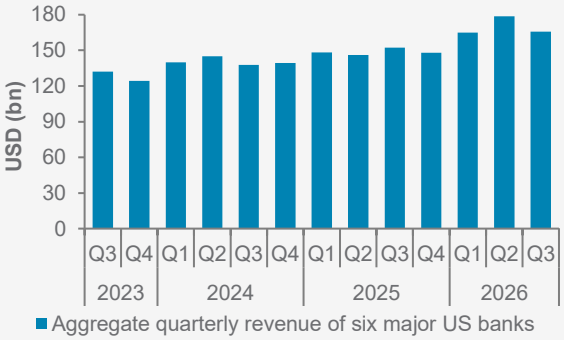
Rationale: Healthy loan and deposit growth continue to support net interest income (NII), hinting that the US economy remains resilient. Capital markets revenue grew year-on-year (y/y), but moderated sequentially after a very strong Q2 2026, although performance varied across banks. Management commentary points to **a healthy deal pipeline**, supported by M&A activity and debt refinancing demand, although execution will depend on market conditions.

Provisioning and net charge-off trends were mixed across banks, with **no clear signs of broad deterioration in credit quality**. Firmer US inflation raises the risk of further monetary tightening. While higher rates can support asset yields, they can also **increase funding costs, pressure borrowers and weigh on securities' valuations**. We will continue to monitor lending demand, credit costs, NII trends, capital markets momentum and capital returns.

— **Robin Xie,** *Senior Investment Strategist*

US banks' revenues remain resilient despite moderation from a record-high Q2 2026

Aggregate quarterly revenue (USD bn) of six major US banks



Source: Bloomberg, Standard Chartered

Can Big Tech's earnings guidance sustain confidence in the AI investment cycle?

Our view: We expect Big Tech's AI spending to remain elevated, supporting our constructive AI capex outlook. However, we await guidance on the pace of capex growth and the sustainability of profit margins.

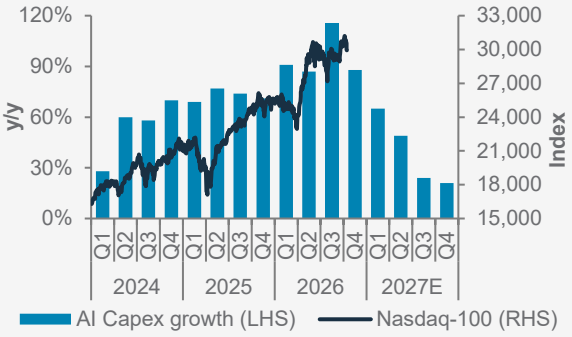
Rationale: Semiconductor leaders' latest company guidance points to supply constraints extending through 2028, supporting **continued capacity expansion for compute**. However, while AI capex is still likely to rise, **y/y growth is expected to moderate** from c.100% in Q3 2026 to c.20% in Q3 2027. This normalisation in growth could raise concerns about the AI investment cycle's durability.

The **Nasdaq-100 Index** has rallied alongside accelerating AI capex. Slower capex growth is likely to moderate semiconductor revenue growth, while **hyperscalers** continue to incur depreciation costs on past investments. The slower growth is already partially reflected in the Nasdaq-100's valuation de-rating this year. **While we remain constructive on the AI investment theme, we prefer to stay prudent in the near term** and await Big Tech's guidance for greater visibility into spending plans in H2 2027 and beyond.

— **Ryan Goh**, *Investment Strategist*

AI capital expenditure (capex) growth is expected to moderate to around 20% in Q3 2027

AI capex growth (y/y) vs. the Nasdaq-100 Index



Source: FactSet, Bloomberg, Standard Chartered

Top client questions (cont'd)

Would France face a credit rating downgrade by rating agencies this month? What might be the market implications?

Our view: A rating downgrade is unlikely unless France's 2027 budget passes the National Assembly very soon with material changes to the proposal. We see French government bond yields remaining elevated relative to German Bund yields.

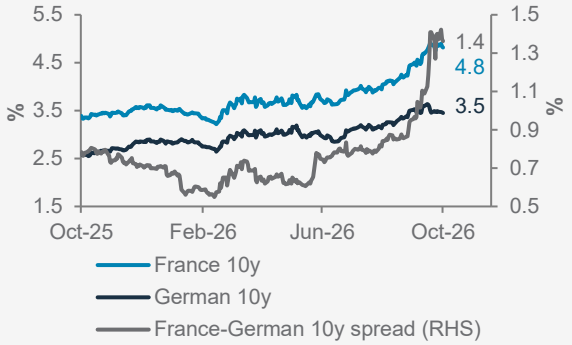
Rationale: The French National Assembly began debating France's 2027 draft budget on 13 October 2026, with the first vote scheduled for 20 October. **Near-term budget approval appears unlikely**, as opposition parties have tabled motions to reject the proposal. The French Parliament has up to 70 days from the budget's submission to complete the legislative process, although its final adoption and the resolution of political challenges could extend into early 2027.

Last October, two of the three major rating agencies downgraded France by one notch to the **high-single-A category** with stable outlooks. The remaining agency rated France in the **low-AA category** with a negative outlook. As negative outlooks are typically resolved within 12-18 months, agencies have time to await fiscal clarity before acting. We believe **downgrade risks** are largely priced in after the recent rise in yields, but volatility is likely to persist amid fiscal uncertainty and the approaching presidential election. Banks and domestically-focused issuers would face the greatest near-term pressure. However, we would view wider spreads as an **opportunity to add exposure, particularly to French banks' subordinated debt**, given their stronger balance sheets and the fact that France contributes less than 50% of major French banks' overall revenue.

— **Ray Heung,** *Senior Investment Strategist*

France's government bond yields remain elevated amid fiscal and political turmoil

France and Germany's 10Y government bond yields and the yield spread



Source: Bloomberg, Standard Chartered

Are you still positive on Japanese banks?

Our view: We are positive on Japanese banks despite the recent market correction, as the structural drivers of improving profitability and shareholder returns remain intact. While political risk and shifting BoJ rate hike odds could sustain near-term volatility, we see the recent pullback as an opportunity to build selective exposure to Japanese bank stocks.

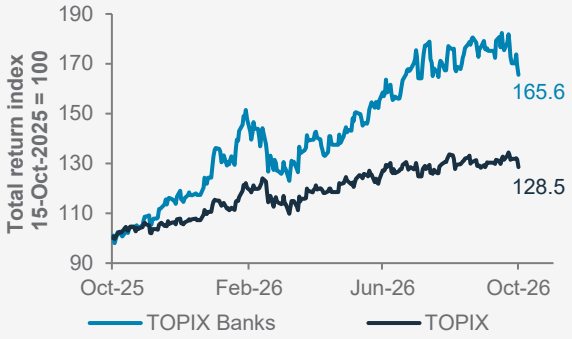
Rationale: Japan's **gradual monetary policy normalisation** should support banks' NII as floating-rate loans reprice and maturing assets are reinvested at higher yields. Healthy corporate lending demand, improving capital efficiency and continued share buybacks provide further support. While uncertainty over the pace of BoJ tightening could weigh on sentiment, we see gradual interest rate normalisation as **supportive of medium-term bank profitability**.

Key risks include rising deposit costs, mark-to-market losses on bond portfolios and a disorderly increase in Japanese government bond yields. We continue to favour **well-capitalised banks** with strong domestic deposit franchises and improving returns on equity.

— **Robin Xie,** *Senior Investment Strategist*

Japanese banks' longer-term outperformance puts recent volatility in perspective

TOPIX Banks vs. TOPIX performance (rebased to 100)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Could NZD/USD rebound from its one-year trough? If so, how far could it recover?

Our view: New Zealand's improving domestic conditions, persistent inflation and technical support provide a basis for NZD/USD's initial recovery towards the 0.57 level, although elevated US bond yields could slow its progress.

Rationale: In Q3, New Zealand's seasonally-adjusted business confidence reading rose to a net 40% of firms expecting the economy to improve, up from net 14% in Q2. Hiring intentions improved, and filled jobs rose 0.2% m/m in August. These developments suggest **domestic conditions remain supportive for the NZD**.

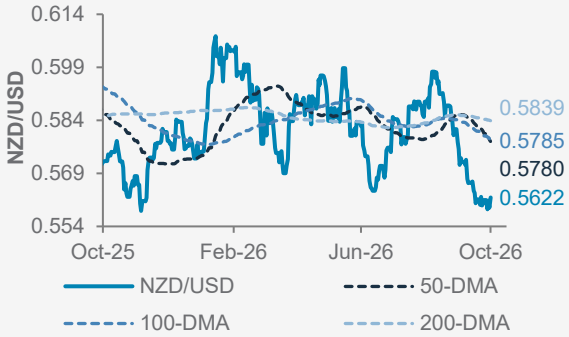
New Zealand's above-target inflation keeps further RBNZ tightening in focus. The 22 October **consumer inflation data release** and the 28 October **RBNZ policy meeting** are key catalysts: persistent price pressures and improving demand are expected to prompt firmer policy guidance and strengthen the NZD's interest-rate appeal.

NZD/USD's position near the lower boundary of its downtrend channel suggests **scope for a technical rebound**. We see 0.57 as the first recovery hurdle; a sustained break above this level would strengthen the case for further gains. Firmer US consumer inflation remains a headwind, making **a gradual recovery more plausible than a sharp reversal.**

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

NZD/USD is likely to rebound towards near-term resistance at 0.57

NZD/USD and technical indicators



Source: Bloomberg, Standard Chartered

Can the proposed Russia-Ukraine 'energy ceasefire' contain oil prices as Middle East risks rise?

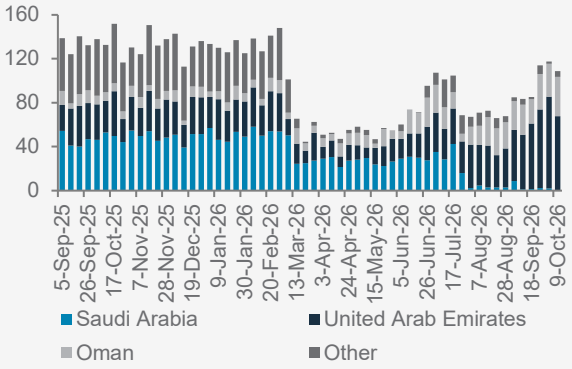
Our view: We expect escalating Middle East tensions to keep oil prices elevated. We maintain our three- and 12-month West Texas Intermediate (WTI) oil price forecasts at USD 100/bbl and USD 80/bbl, respectively, and continue to favour US Treasury Inflation-Protected Securities (TIPS) as a portfolio hedge against persistent inflation risks.

Rationale: The **proposed Russia-Ukraine 'energy ceasefire'** still looks some way off. In our view, even if an agreement is reached, it would do little to ease the supply risks building in the Middle East. **Gulf oil exports** have recovered to above 80% of pre-conflict levels in recent weeks, helping moderate the pace of price increases. However, the recovery remains vulnerable to disruptions, particularly following the latest Houthi attacks on Saudi energy infrastructure. **Diesel and jet fuel remain under the most pressure**, with Gulf exports of these fuels in September at only around 60% of pre-conflict levels. A sustained disruption to major Saudi production or export infrastructure remains the principal upside risk to oil prices.

— **Anthony Naab,** *Investment Strategist*

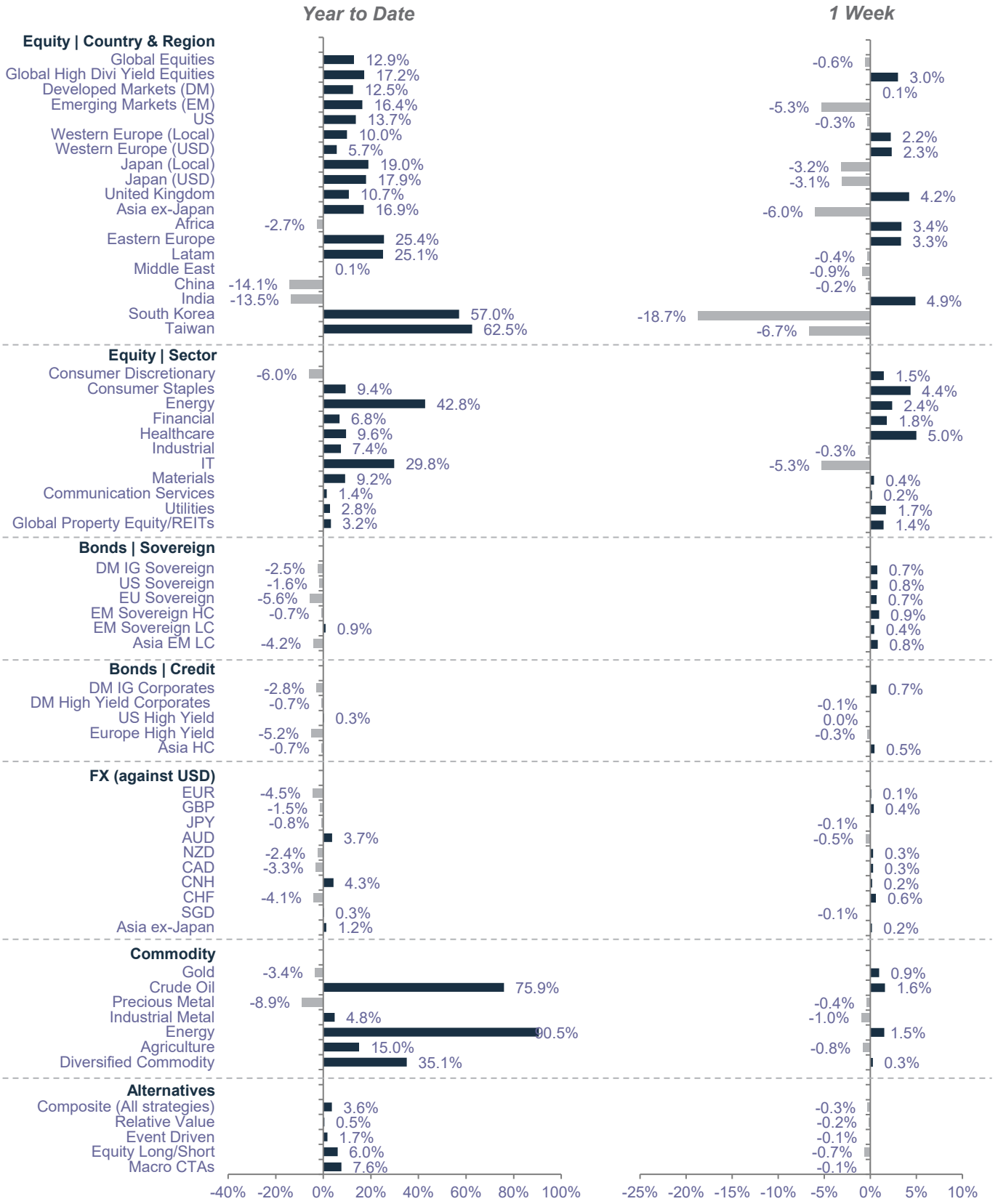
Robust Gulf oil exports are tempering oil price pressures, but supply risks should sustain a geopolitical risk premium

Weekly Gulf oil exports by source – September 2025 to date



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 15 October 2026; 1-week period: 8 October 2026 to 15 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
		China Financials	▲
Credit		China Communication	▲
Asia USD	◆	China Materials	▲
Corp DM HY	◆	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	GDP y/y	3Q	4.4%	4.3%
	CNH	Retail Sales y/y	Sep	0.5%	0.4%
	CNH	Industrial Production y/y	Sep	5.5%	5.2%
	CNH	Fixed Assets Ex Rural YTD y/y	Sep	-7.3%	-7.2%
	CNH	Property Investment YTD y/y	Sep	-20.0%	-19.9%
TUE	EUR	Germany ZEW Survey Expectations	Oct	–	34.7
	EUR	Germany ZEW Survey Current Situation	Oct	–	-47.1
	USD	Housing Starts	Sep	1300k	1275k
	USD	Building Permits	Sep P	1388k	1403k
WED	GBP	CPI y/y	Sep	–	3.1%
	GBP	CPI Core y/y	Sep	–	2.6%
THU	EUR	Consumer Confidence	Oct P	–	-16.5
	USD	Leading Index	Sep	–	-0.1%
FRI/SAT	EUR	S&P Global Eurozone Manufacturing PMI	Oct P	–	52.9
	EUR	S&P Global Eurozone Services PMI	Oct P	–	53.0
	USD	S&P Global US Manufacturing PMI	Oct P	–	55.9
	USD	S&P Global US Services PMI	Oct P	–	58.8

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,890

Technical indicators for key markets as of 15 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,744	7,553	7,890	18.9	1.2
STOXX 50	6,168	6,051	6,326	14.5	3.3
FTSE 100	10,840	10,516	11,017	12.4	3.6
TOPIX	3,999	3,917	4,142	15.6	2.4
Shanghai Comp	3,707	3,599	3,892	12.1	3.2
Hang Seng	24,063	23,449	24,966	10.0	3.6
Nifty 50	22,997	22,254	23,667	17.0	1.9
MSCI Asia ex-Japan	1,052	1,010	1,131	9.3	2.7
MSCI EM	1,608	1,551	1,712	9.2	3.0
Crude oil (WTI)	98.0	87.6	107.5	na	na
Gold	4,171	4,025	4,358	na	na
UST 10Y Yield	5.06	4.86	5.31	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 15 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.62
Global Equities	●	↑	1.85
Gold	●	↓	1.64
Equity			
MSCI US	●	→	1.62
MSCI Europe	●	↑	1.60
MSCI AC AXJ	●	→	1.65
Fixed Income			
DM Corp Bond	●	↓	1.58
DM High Yield	●	↓	1.51
EM USD	●	↓	1.53
EM Local	●	↑	1.71
Asia USD	●	↓	1.57
Currencies			
EUR/USD	◐	↓	1.42

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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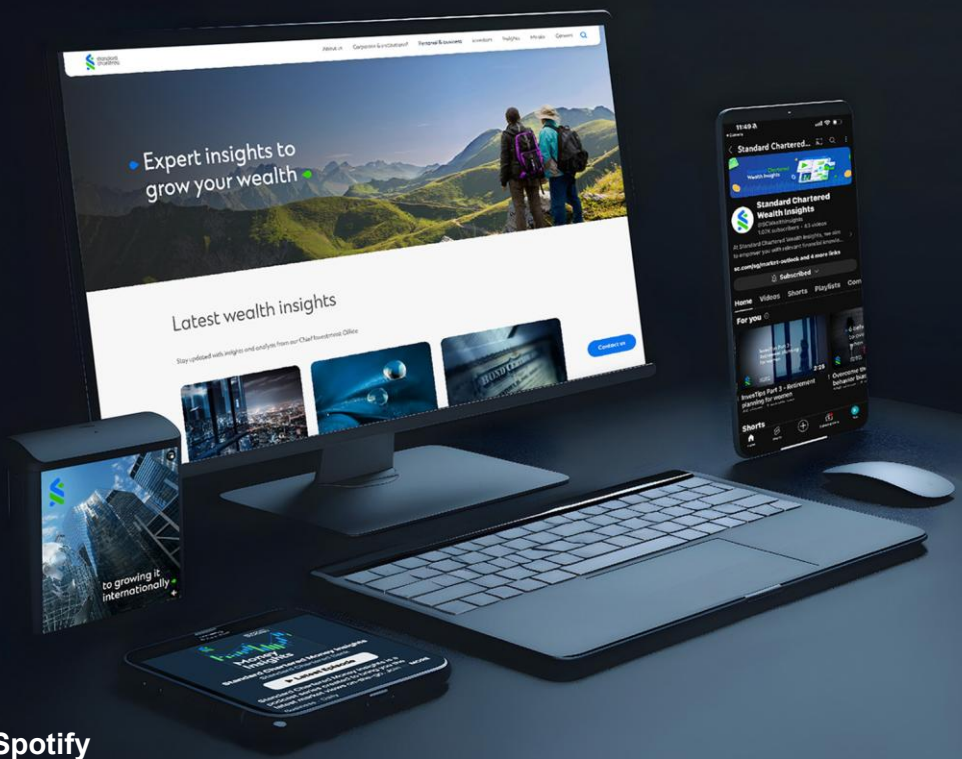
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WS Global CIO Office
9 October 2026

Weekly Market View

Will earnings resolve the bond-equity split?



➔ Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities.

➔ Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding back high-beta exposure within equities.

➔ Consensus estimates point to a 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term.

➔ In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

What are the market implications of France's political and fiscal uncertainty?

What is your outlook for the US Q3 earnings season?

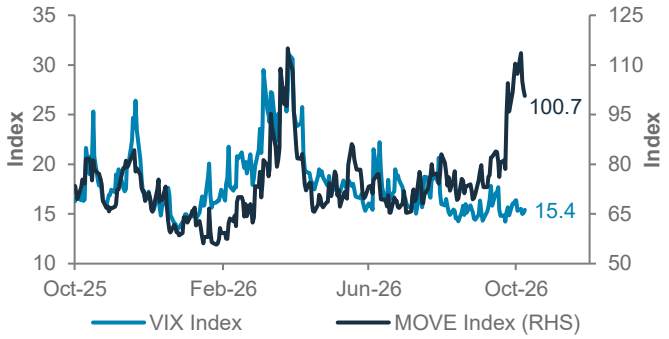
Do you see further upside for USD/JPY?

Important disclosures can be found in the Disclosures Appendix.

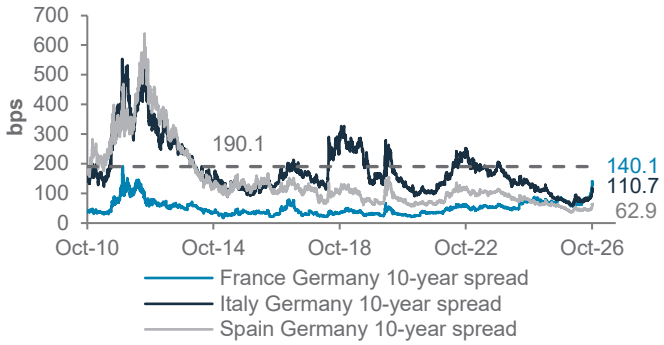
Charts of the week: Diverging volatility

Strong earnings should resolve the bond and equity market divergence; French political risks remain largely contained

S&P500 volatility index (VIX); US bond volatility index (MOVE)*



10-year government bond yield spreads over German bonds



Source: Bloomberg, Standard Chartered; *measures US government bond volatility

Editorial

Will earnings resolve the bond-equity split?

Strategy summary: Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities. Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding high-beta exposure within equities.

Consensus estimates point to a c. 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of c. 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term. In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

Divergence between equities and bonds. Equity markets signal calm, with the S&P500 index near record highs and its volatility index (VIX) low at 15, while the US government bond volatility index (MOVE) is close to its highest since March. Bond stress reflects two-decade-high long yields amid strong growth, oil close to USD 100/bbl fuelling near-term inflation, fiscal uncertainty and crowded investor short positioning vulnerable to abrupt unwinds. High bond volatility could spill into equities.

Our quantitative stock-bond model turns negative. For the first time since March 2025, the model score has turned negative, driven by deteriorating equity market breadth and above-average risk aversion. History shows global equity volatility rises most in the month after the score dips to -1. However, equities still outperformed bonds over the following 1-12 months, on average, despite higher market risk.

Taking some chips off the table; locking in gains: Rising bond volatility, the negative stock-bond model signal, weak equity breadth and approaching US mid-term elections warrant near-term caution. US small-caps remain about 9% below August's all-time highs even as large-caps reach new records. The macro uncertainty prompted us to lock in gains in semiconductor and Taiwan equity opportunistic ideas.

Strong Q3 earnings season likely to overcome near-term challenges. Strong US and Asian earnings should ultimately resolve the equity-bond divergence in favour of stocks. Consensus S&P500 Q3 earnings growth has risen to 30.6% y/y, while technology is tracking 66.5%, driven by the AI infrastructure buildout. AI investment plans, monetisation and funding needs are key metrics to watch. Record memory-chip profits and higher long-term targets from AI leaders support staying long technology-led risk assets and using near-term volatility to scale into preferred sectors. Also, US equities have historically performed strongly in the 12 months after mid-term elections, particularly when the opposition regains control of the House and the Senate – as seems increasingly likely.

Medium-term constructive on equities. Beyond Q3 earnings, we expect US earnings to rise 15-20% next year. Almost half of the estimated USD 420 per share of S&P500 earnings in 2027 should come from tech-related sectors: information technology, communication services and consumer discretionary. We also favour US, Europe and Japan financial sectors as solid growth and higher rates lift lending income, while the AI buildout boosts advisory fees from IPOs and M&As. However, another 30-50bps rise in long-term bond yields, without earnings growth upgrades, could be a headwind for equities. Next week's US inflation data for September is the next catalyst for bond yields.

French uncertainty challenges near-term EUR view; continue to see opportunities in Euro area bank equities. Rising French political and fiscal risks have largely remained confined to France, with its bond yield spread versus German peers surging to the widest since the 2011-12 Euro area crisis. Nevertheless, EUR/USD has fallen around 4% since mid-August, and our three-month forecast of 1.15 is under review. Tighter financial conditions and political uncertainty in France and Spain raises the risk of an ECB rate hold. Euro area bank equities remain attractive on profitability, capital strength and valuations, subject to sovereign-spread and funding-cost risks.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

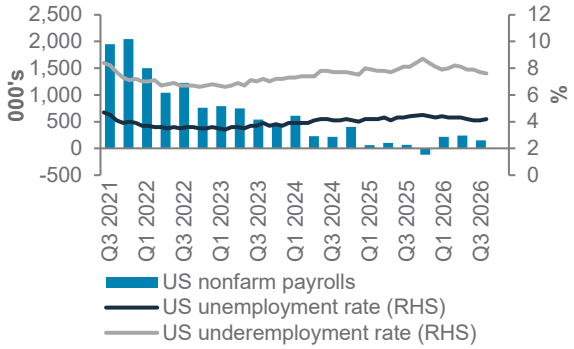
(+) factors: Cooling US payrolls eased Fed hike concerns

(-) factors: Re-accelerating Euro area inflation; France's fiscal crisis

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls rose 29,000 in September, significantly missing estimates and easing Fed hike expectations	• US ISM services PMI missed estimates in Sept • Euro area's September headline consumer inflation and August's headline producer price inflation rose unexpectedly • Euro area Sentix investor confidence fell more than expected to 2.7 in October • Euro area retail sales grew by 0.8% y/y in August, missing expectations
	Our assessment: Negative – Weaker-than-expected US services PMI, re-accelerating Euro area inflation	
Policy developments	• Fed's Bowman announced a major bank supervision overhaul that leans toward easing regulations • BoE survey data showed little evidence of second-round inflation effects from higher energy prices	• The Fed's September meeting minutes indicated most officials expect one more hike by year-end • RBI raised its policy rate by 25bps to 5.5%, delivering its first hike in four years
	Our assessment: Neutral – Potential US bank regulatory relaxation vs. Hawkish Fed minutes and an RBI rate hike	
Other developments		• Iran ramped up its strikes as energy flows approach pre-conflict levels • France's fiscal uncertainty led to weakening economic activity and surging French bond yield premia • EU planned import cap on Chinese hybrid vehicles; China warned EU that it has retaliatory measures
	Our assessment: Negative – Ongoing geopolitical tensions; France's fiscal crisis	

US non-farm payrolls came in below estimates in September and the unemployment rate rose, easing near-term Fed rate hike expectations

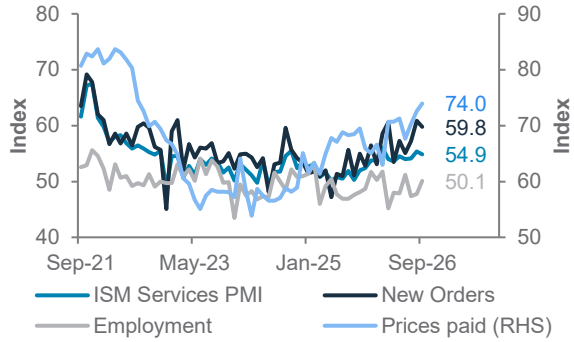
US non-farm payrolls (quarterly), unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

US ISM services PMI fell unexpectedly in September, with prices paid PMI for inputs rising to 74.0 and new orders PMI missing expectations

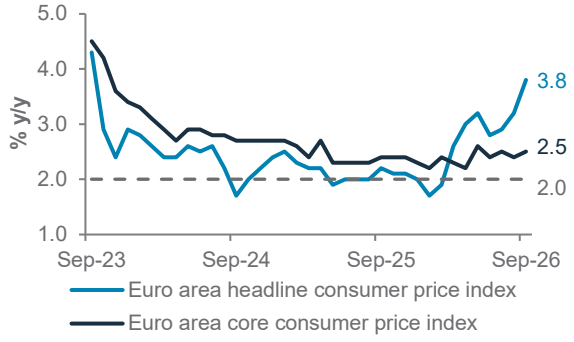
US services PMI and its components



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose to 3.8% in September, marking the fastest rate of inflation since September 2023

Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

What are the market implications of France's political and fiscal uncertainty?

Our view: France's political and fiscal uncertainty remain near-term headwinds for European assets. We are placing our three-month EUR/USD forecast (1.15) under review for a potential downward adjustment, while retaining our 12-month forecast at 1.18 as broader Euro area spillovers remain limited. Our base case remains one more ECB hike in December followed by a prolonged pause, although tighter financial conditions increase the risk of a delay. For equities, we retain Euro area banks as an Opportunistic idea, supported by strong profitability, capital buffers and reasonable valuations. For bank bonds, we prefer a subordinated capital structure to senior debt.

Rationale: France's 10-year government bond yield has risen amid **renewed political and fiscal concerns**. This has tightened financial conditions and added to the near-term EUR risk premium. Together with elevated US yields, **this raises downside risks to our three-month EUR/USD view**. However, the stress has not yet developed into broad Euro area contagion, and recent expectations of progress on France's 2027 budget have provided some relief. Broader Euro area growth and labour market fundamentals also remain relatively resilient, supporting our **unchanged 12-month EUR/USD view**.

For the ECB, higher sovereign yields are already delivering some monetary tightening. Markets have consequently pared expectations of additional ECB hikes. **We continue to expect one more hike in December**, given elevated near-term inflation, but persistent fiscal or political stress in France and Spain could delay further tightening.

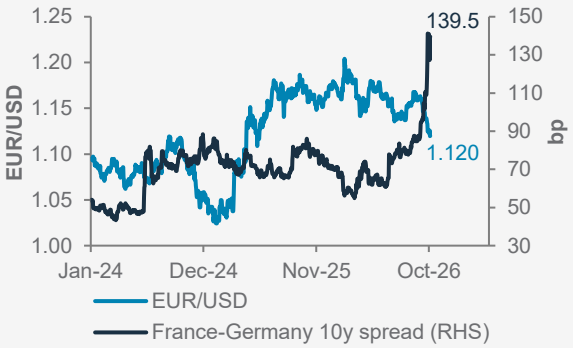
For Euro area banks, **wider sovereign spreads** are likely to raise funding costs and pressure bond portfolios, while fewer ECB hikes would moderate further gains in net interest income. Nevertheless, **profitability** remains strong, **capital buffers** are healthy and **price-to-book valuations** remain reasonable, with **returns on equity** also improving. We, therefore, **maintain Euro area banks as an Opportunistic idea**, while monitoring sovereign spreads, funding costs and any deterioration in loan-loss provisions.

On the bond side, European bank junior subordinated bond prices fell by an average of **3-5 cash points** before rebounding, with French bank subordinated bonds underperforming those of other European peers. As **fundamentals remain strong**, we view pullbacks as opportunities to add and maintain our preference for a subordinated capital structure over senior debt for European bank bonds.

— **Vincent Tan**, *Senior Investment Strategist*
— **Fook Hien Yap**, *Senior Investment Strategist*
Ray Heung, *Senior Investment Strategist*

France's fiscal concerns weigh on the EUR

EUR/USD vs. France-Germany 10Y government bond yield spread



Source: Bloomberg, Standard Chartered

We remain positive on Euro area banks – they outperformed global financials over the past year, but gave up some of their outperformance over the past month

Euro STOXX Banks and MSCI AC World Financials indices over the past year, rebased



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is the likelihood of elevated long-end government bond yields evolving into a systemic risk for the financial sector and public finances?

Our view: We believe systemic risk remains a tail risk rather than a base case in the near term. The probability would rise materially if rollover stress, foreign demand withdrawal and private credit deterioration occur in combination.

Rationale: Higher bond yields worsen fiscal deficits and drive higher issuance requirements, exerting further upward pressure on yields. The resulting tighter financial conditions weigh on economic growth. This feedback loop is most acute in Developed Markets (DMs) where debt burdens are already elevated. For instance, projected 2026 **debt-to-GDP ratios** stand at 204% for Japan, 138% for Italy, 126% for the US, 118% for France and 104% for the UK. Countries with shorter average debt maturities face the sharpest **near-term repricing risk** as maturing obligations are refinanced at current rates. Meanwhile, evidence suggests that **a positive equity-bond correlation increases the sensitivity of yields to bond supply**.

Taking the US as an example, there has been **no buyers' strike on US government bonds yet**, though foreign demand has softened, narrowing the margin of safety. The US government has shifted towards **shorter-dated issuance** to manage funding costs (reducing near-term expenses, but concentrating rollover risk). Economic resilience remains evident, underpinned by **corporate confidence in AI-driven investment**. The key question is whether this expansion can persist long enough to stabilise the fiscal trajectory.

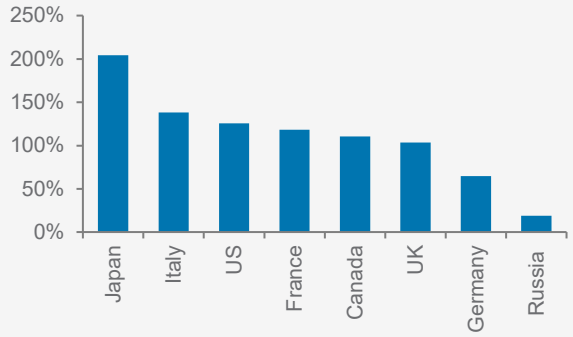
Within the financial sector, **corporate balance sheets remain strong**, while High-Yield (HY) bond and leveraged loan default rates remain contained, though this reflects the lag between rate rises and credit deterioration, not immunity. Following the failure of the Silicon Valley Bank, **liquidity discipline among banks has improved**, but duration mismatches persist.

In **private credit**, default rates are trending upward while the asset class has come under continued scrutiny, with negative headlines and a rise in redemptions triggering fund gating at some private credit managers since Q1 2026. Hence, continued monitoring of **default rates, redemptions and potential stress events** in private credit remains essential. That said, higher rates could buoy **medium-term returns** and **distribution yields** in the asset class, as the majority of direct lending loans have a floating-rate structure.

— **Ray Heung,** *Senior Investment Strategist*

Most G8 economies have government debt-to-GDP ratios exceeding 100%

Projected government debt-to-GDP ratios, 2026



Source: IMF, Standard Chartered

Top client questions (cont'd)

What is your outlook for the US Q3 2026 earnings season, especially for the banking sector?

Our view: We expect another quarter of robust US earnings growth to support our Overweight stance on US equities. We see major US banks, which begin reporting next week, also delivering healthy results, reinforcing our Overweight view on the US financial sector.

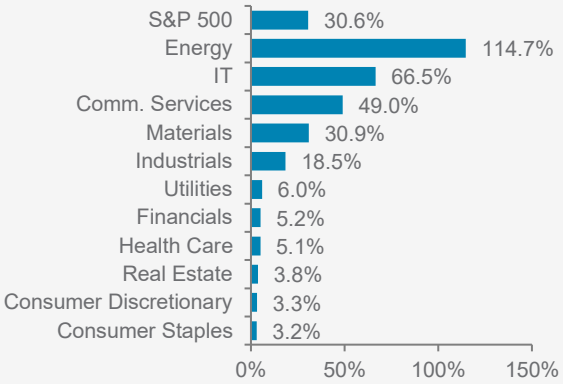
Rationale: Consensus forecasts **S&P500 Q3 earnings growth** of 30.6% y/y, up from 27.6% at the start of July. **Energy** is expected to post the strongest growth at 114.7%, supported by elevated oil prices amid ongoing geopolitical tensions. **Information technology** (66.5%) and **communication services** (49.0%) remain key earnings drivers, benefiting from sustained AI-related demand and investment. The broader outlook remains supportive, with **full-year earnings growth** projected at 35.8% in 2026 and 15.6% in 2027.

For banks, the recent underperformance amid concerns over higher long-term bond yields has, in our view, improved the forward-looking risk-reward profile. Over the medium term, **strengthening loan growth** and **resilient credit quality** should continue to support solid fundamentals. Capital markets activity also remains constructive, with industry leaders well-positioned to benefit from their strong investment banking and trading franchises.

— **Jason Wong,** *Senior Equity Analyst*

Strong US earnings continue to provide support for US equities, with S&P500 estimated earnings growth of 30.6% y/y in Q3 2026

Consensus Q3 earnings growth by sector in the S&P500 Index



Source: LSEG I/B/E/S, Standard Chartered

How could upcoming semiconductor manufacturing and equipment earnings reshape the AI capex outlook?

Our view: We maintain our AI capex outlook as robust demand and ongoing supply constraints support a multi-year expansion cycle. In the near term, however, we take a more prudent stance on semiconductors amid an expected rise in equity volatility.

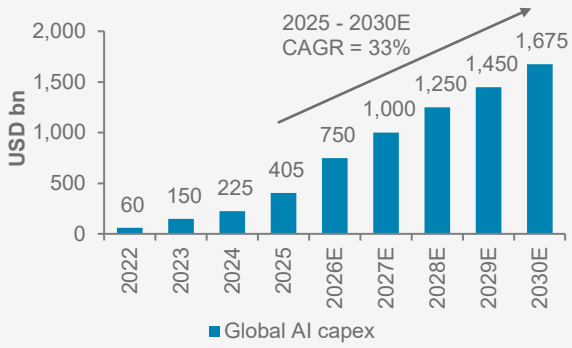
Rationale: Recent memory industry guidance points to **sustained investment in advanced chip manufacturing**, with customer commitments extending through 2031. Upcoming earnings should provide visibility into capacity expansion plans. This supports our AI capex outlook, which we will monitor through the earnings season.

That said, we expect **equity volatility to rise in the near term** amid elevated long-term yields and macroeconomic uncertainty. Recent media reports on AI lab revenues have also led to doubts over monetisation and the ability to sustain elevated capex spending. We thus took profit on our **Global Semiconductors** (8.1% return from 9-Sep-26 to 2-Oct-26) and **MSCI Taiwan** (10.0% return from 9-Jul-26 to 2-Oct-26) Opportunistic ideas following strong performance. This does not reflect a deterioration in fundamentals, but rather a need to be prudent on high-beta exposure. **We remain constructive on the AI theme over the long term.**

— **Ryan Goh**, *Investment Strategist*

The AI capital expenditure (capex) outlook remains firm, despite near-term market risks from macroeconomic headwinds

Global AI capex is projected to reach USD 1.7trn by 2030



Source: Company reports, Standard Chartered

Top client questions (cont'd)

USD/CHF has rebounded sharply over the past two months. What are the key factors behind the move, and do you see the currency pair continuing to move higher?

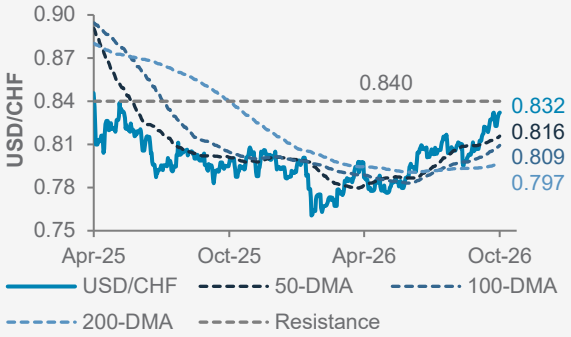
Our view: USD/CHF tested 0.84 amid strong momentum from the USD, but we see the pair remaining supported near-term before gradually moving lower towards 0.82 in three months.

Rationale: The Fed's relatively high policy rate continues to support USD carry demand, while the Swiss National Bank maintains its policy rate at 0%. In the near term, however, the Swiss franc (CHF) could benefit from **increased safe-haven demand amid mounting fiscal concerns in France and political uncertainty in Spain**, particularly if European risk premia continue to rise. Beyond these cyclical factors, Switzerland's substantial net foreign asset position, persistent current account surpluses and low public debt burden continue to underpin **the CHF's structural strength**. Over the medium term, **we expect the USD's rate advantage to gradually diminish** as the Fed approaches the end of its tightening cycle, while the CHF's defensive characteristics should remain supportive.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

USD/CHF gains driven by higher US bond yields are likely to be offset by CHF safe-haven demand

USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

Do you see further upside for USD/JPY after recent dovish comments from BoJ officials and latest bond auctions?

Our view: We see some near-term upside risk to USD/JPY from elevated US yields, but retain our medium-term constructive JPY view. USD/JPY remains below 159, suggesting markets are mindful of intervention risk as the pair approaches 160. We continue to expect further BoJ normalisation.

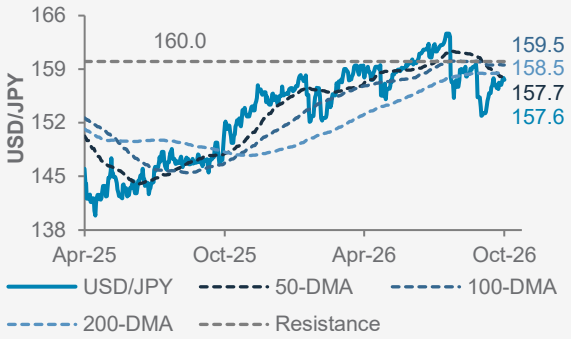
Rationale: Recent BoJ communication appears less dovish than the market narrative had suggested. BoJ Governor Ueda continues to emphasise **the need to anchor underlying inflation around 2%** and gradually reduce monetary accommodation, supporting our view that **the tightening cycle is not yet over**. An October pause would reflect a more measured pace of policy normalisation rather than a change in the BoJ's policy direction.

Recent **Japanese government bond (JGB) auctions** have shown resilient demand despite higher yields. At the latest 10-year JGB auction, **the bid-to-cover ratio improved** to 3.76x from 3.29x previously, while **the auction tail (spread between highest accepted yield and issued yield) narrowed** to 0.2bps from 1.6bps. We see this as indicative of an orderly, functioning market rather than a dovish BoJ signal. Intervention concerns around the 160 level should help limit near-term USD/JPY upside.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

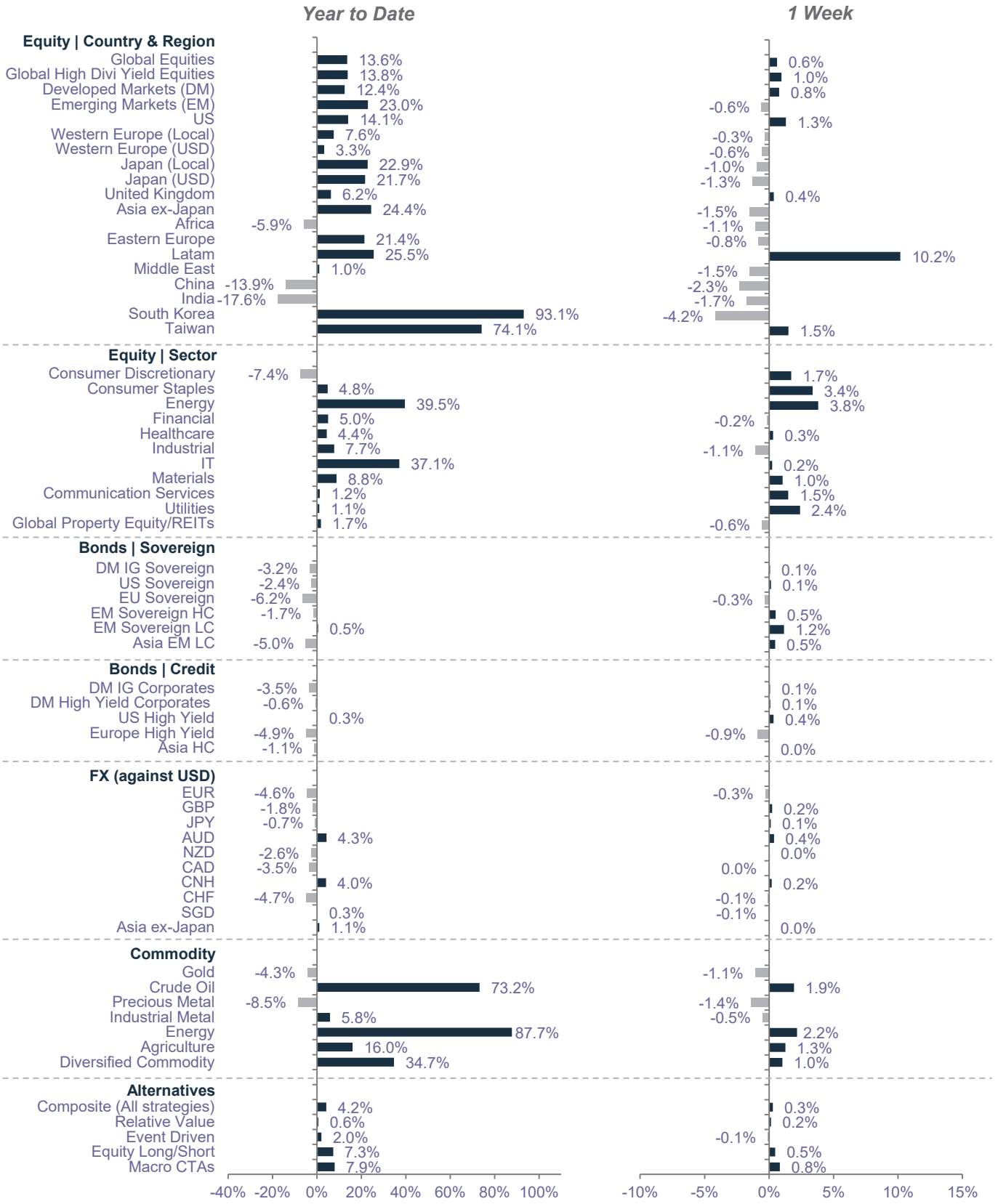
USD/JPY upside is likely capped around 160

USD/JPY and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 8 October 2026; 1-week period: 1 October 2026 to 8 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
Credit		China Financials	▲
Asia USD	◆	China Communication	▲
Corp DM HY	◆	China Materials	▲
Govt EM USD	▲	China Healthcare	▲
Corp DM IG	◆		
Govt		**Alternatives**	◆
Govt EM Local	◆		
Govt DM IG	▼	**Gold**	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON					
TUE	AUD	RBA Minutes of Sept. Policy Meeting	–	–	–
	USD	NFIB Small Business Optimism	Sep	98.0	98.7
	USD	Existing Home Sales	Sep	3.96m	3.98m
WED	CNH	PPI y/y	Sep	4.4%	3.8%
	CNH	CPI y/y	Sep	1.0%	0.8%
	USD	CPI y/y	Sep	3.6%	3.4%
	USD	Core CPI y/y	Sep	2.5%	2.4%
	CNH	Exports y/y	Sep	25.5%	25.0%
	CNH	Imports y/y	Sep	23.1%	28.2%
	CNH	Trade Balance	Sep	$118.3b	$119.1b
THU	USD	Fed Releases Beige Book	–	–	–
	USD	Retail Sales Control Group	Sep	0.3%	1.4%
	USD	Empire Manufacturing	Oct	–	7.6
	USD	Philadelphia Fed Business Outlook	Oct	30.9	37.8
	USD	PPI Final Demand y/y	Sep	–	5.4%
	USD	PPI Ex food & energy y/y	Sep	–	4.6%
FRI/SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,904

Technical indicators for key markets as of 8 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,765	7,567	7,904	19.1	1.2
STOXX 50	6,127	6,006	6,332	14.4	3.3
FTSE 100	10,442	10,256	10,739	12.0	3.7
TOPIX	4,091	3,972	4,206	16.0	2.3
Shanghai Comp	3,812	3,749	3,921	12.4	3.1
Hang Seng	23,786	23,217	24,875	9.9	3.6
Nifty 50	22,232	21,688	23,267	16.5	1.9
MSCI Asia ex-Japan	1,120	1,092	1,160	9.8	2.5
MSCI EM	1,699	1,660	1,754	9.6	2.9
Crude oil (WTI)	91.5	83.3	103.2	na	na
Gold	4,133	3,985	4,361	na	na
UST 10Y Yield	5.23	4.87	5.47	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 8 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.47
Global Equities	●	→	1.75
Gold	●	↑	2.38
Equity			
MSCI US	●	→	1.61
MSCI Europe	◐	→	1.44
MSCI AC AXJ	●	↓	2.07
Fixed Income			
DM Corp Bond	◐	↓	1.46
DM High Yield	◐	→	1.48
EM USD	◐	↓	1.41
EM Local	●	↑	1.78
Asia USD	◐	↓	1.49
Currencies			
EUR/USD	◐	↓	1.41

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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SC Wealth Insights

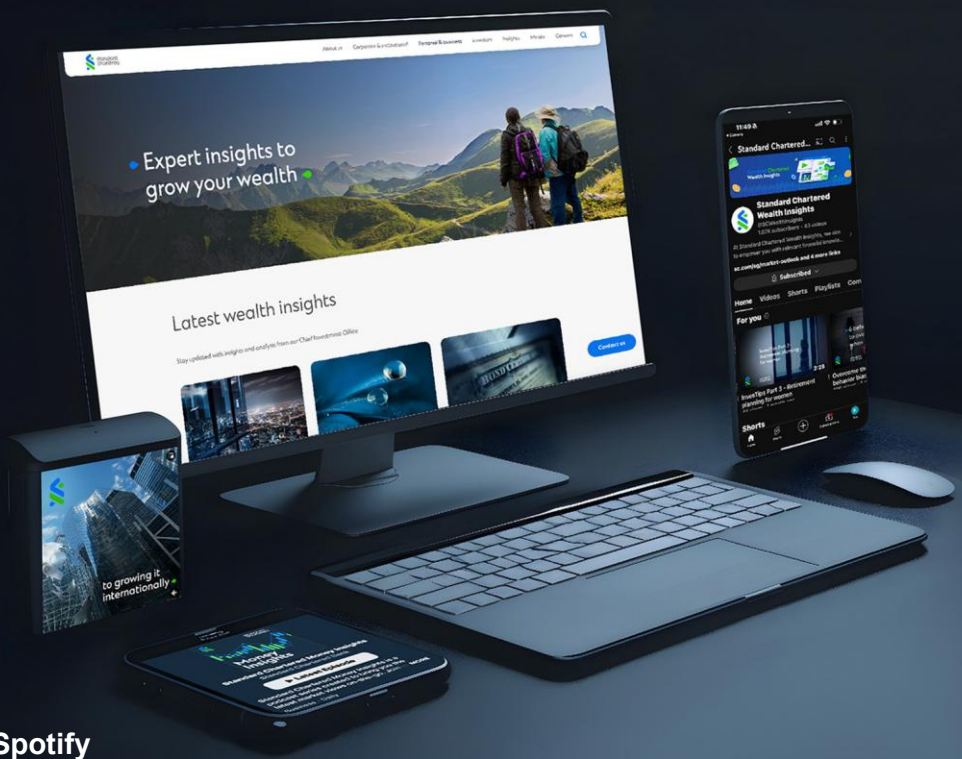
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